Chapter 1

Introduction to Accounting and Business

Chapter Introduction

Chapter 1

Chapter 2

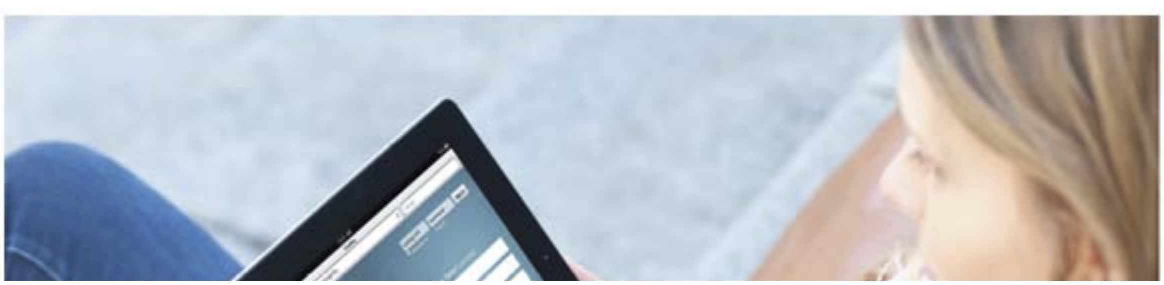
ANALYZING TRANSACTIONS

Chapter 3

THE ADJUSTING PROCESS

Chapter 4

THE ACCOUNTING CYCLE



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Twitter, Inc

When two teams pair up for a game of football, there is often a lot of noise. The band plays, the fans cheer, and fireworks light up the scoreboard. Obviously, the fans are committed and care about the outcome of the game. Just like fans at a football game, the owners of a business want their business to "win" against their competitors in the marketplace. While having your football team win can be a source of pride, winning in the marketplace goes beyond pride and has many tangible benefits. Companies that are winners are better able to serve customers, provide good jobs for employees, and make money for their owners.

Twitter, Inc. (TWTR) is one of the most visible companies on the Internet. It provides a real-time information network where members can post messages, called tweets, for free. Millions post tweets every day throughout the world.

Do you think Twitter is a successful company? Does it make money? How would you know? Accounting helps to answer these questions.

This textbook introduces you to accounting, the language of business. Chapter 1 begins by discussing what a business is, how it operates, and the role that accounting plays.

What's Covered

Introduction to Accounting and Business

Nature of Business	Nature of Accounting	Analyzing Business	Financial Statements

- Types of Business (Obj. 1)
- Role of Accounting (Obj. 1)
- Ethics (Obj. 1)

- Managerial and Financial Accounting (Obj. 1)
- Career Opportunities (Obj. 1)

Transactions

- Generally Accepted Accounting Principles (Obj. 2)
- Accounting Equation (Obj. 3)
- Transactions (Obj. 4)

- Income Statement (Obj. 5)
- Statement of Stockholders' Equity (Obj. 5)
- Balance Sheet (Obj. 5)
- Statement of Cash Flows (Obj. 5)

Learning Objectives

Obj. 1 Describe the nature of business and the role of accounting and ethics in business.

Obj. 2 Describe generally accepted accounting principles, including the underlying assumptions and principles.

Obj. 3 State the accounting equation and define each element of the equation.

Obj. 4 Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation.

Obj. 5 Describe the financial statements of a corporation and explain how they interrelate.

Analysis for Decision Making

Obj. 6 Describe and illustrate the use of the ratio of liabilities to stockholders' equity in evaluating a company's financial condition.

1-1 Nature of Business and Accounting

Objective 1 - Describe the nature of business and the role of accounting and ethics in business.

A **business** (An organization in which basic resources (inputs), such as materials and labor, are assembled and processed to provide goods or services (outputs) to customers.) is an organization in which basic resources (inputs), such as materials and labor, are assembled and processed to provide goods or services (outputs) to customers. Businesses come in all sizes, from a local coffee house to **Starbucks (SBUX)**, which sells over $15 billion of coffee and related products each year.

The objective of most businesses is to earn a **profit** (The difference between the amounts received from customers for goods or services provided and the amounts paid for the inputs used to provide the goods or services.). Profit is the difference between the amounts received from customers for goods or services and the amounts paid for the inputs used to provide the goods or services. This text focuses on businesses operating to earn a profit. However, many of the same concepts and principles also apply to not-for-profit organizations such as hospitals, churches, and government agencies.

1-1a Types of Businesses

Three types of businesses operating for profit include service, retail, and manufacturing businesses. Some examples of each type of business follow:

- **Service businesses** (A business providing services rather than products to customers.)

  provide services rather than products to customers.

  Delta Air Lines (DAL) (transportation services)

  The Walt Disney Company (DIS) (entertainment services)

- **Retail businesses** (A type of business that purchases products from other businesses and sells them to customers.)

  sell products they purchase from other businesses to customers.

  Walmart Inc. (WMT) (general merchandise)

  Target Corporation (TGT) (general merchandise)

- **Manufacturing businesses** (A type of business that changes basic inputs into products that are sold to individual customers.)

  change basic inputs into products that are sold to customers.

  Ford Motor Company (F) (cars, trucks, vans)

  Merck & Co., Inc. (MRK) (pharmaceutical drugs)

Link to Twitter

Twitter is a service company that provides a platform for individuals to send text messages called tweets.

Chapter 1: Introduction to Accounting and Business: 1-1a Types of Businesses
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1-1b Business Activities

Businesses engage in the following three types of activities:

- Operating activities
- Investing activities
- Financing activities

Operating activities (Activities by which a company generates revenues from customers.) are those activities by which the company generates revenues from customers. Operating activities include producing, marketing, and distributing a product or service to customers. For example, operating activities of **Dell Technologies Inc. (DVMT)** include product development, acquiring component parts, assembly, marketing, and distribution of its products.

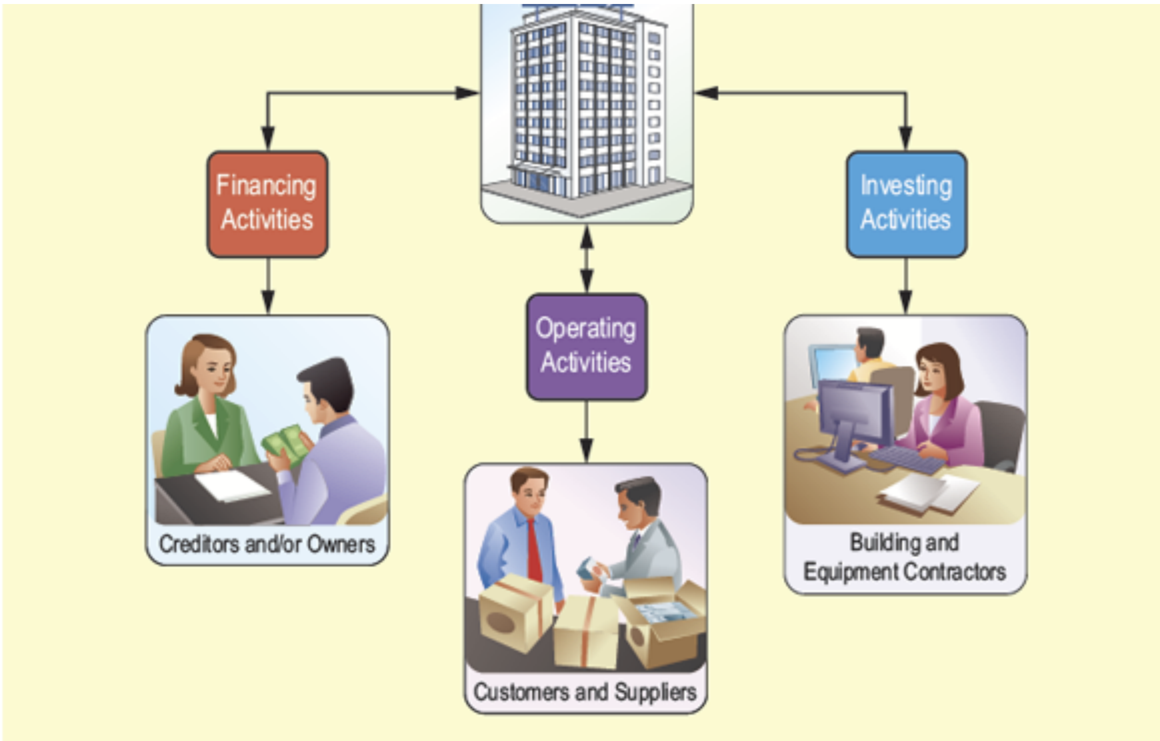
Investing activities (Activities by which a company acquires long-term assets for use in the operating activities of the company.) are those activities by which a company acquires long-term assets for use in the operating activities of the company. For example, the acquisition by **Delta Air Lines, Inc. (DAL)** of Boeing 787 and Airbus 321 airplanes is an investing activity. Likewise, the purchase of land and the construction of buildings to use for training, maintenance, flight monitoring, and corporate offices are investing activities.

Financing activities (Activities by which a company obtains funds to start and operate the company.) include activities by which the company obtains funds to start and operate the company. Funds are normally obtained from creditors and owners. For example, companies can obtain funds by issuing stock to the public. The payments to creditors and owners are also classified as financing activities.

The preceding business activities are summarized in Exhibit 1.

Exhibit 1

Business Activities


Financing Activities
Investing Activities
Operating Activities
Creditors and/or Owners
Customers and Suppliers
Building and Equipment Contractors

1-1c Role of Accounting in Business

The role of accounting in business is to provide information for managers to use in operating the business. In addition, accounting provides information to other users in assessing the economic performance and condition of the business.

Note

Accounting is an information system that provides reports to users about the economic activities and condition of a business.

Thus,

accounting (An information system that provides reports to stakeholders about the economic activities and condition of a business.)

can be defined as an information system that provides reports to users about the economic activities and condition of a business. You could think of accounting as the "language of business." This is because accounting is the means by which businesses' financial information is communicated to users.

Link to Twitter

Twitter communicates to investors in an annual report that includes accounting information.

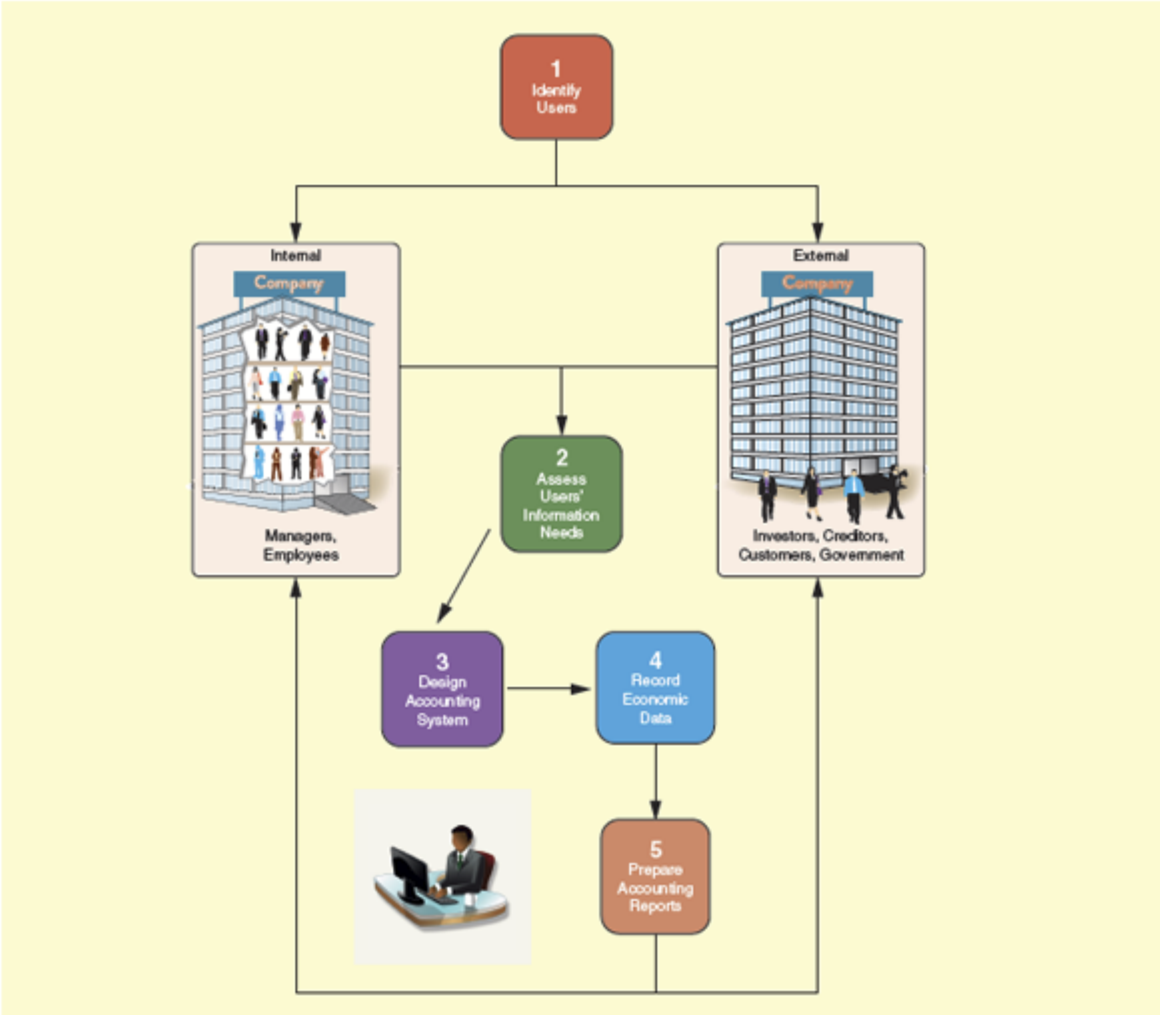
The process by which accounting provides information to users is as follows:

1. Identify users.
2. Assess users' information needs.
3. Design the accounting information system to meet users' needs.
4. Record economic data about business activities and events.
5. Prepare accounting reports for users.

As illustrated in Exhibit 2, users of accounting information can be divided into two groups: internal users and external users.

Exhibit 2

Accounting as an Information System



Managerial Accounting

Internal users of accounting information include managers and employees. These users are directly involved in managing and operating the business. The area of accounting that provides internal users with information is called **managerial accounting** (The branch of accounting that uses both historical and estimated data in providing information that management uses in conducting daily operations, in planning future operations, and in developing overall business strategies.), or **management accounting** (The branch of accounting that uses both historical and estimated data in providing information that management uses in conducting daily operations, in planning future operations, and in developing overall business strategies.).

The objective of managerial accounting is to provide relevant and timely information for managers' and employees' decision-making needs. Often, such information is sensitive and is not distributed outside the business. Examples of sensitive information might include information about customers, prices, and plans to expand the business. Managerial accountants employed by a business are employed in **private accounting** (The field of accounting whereby accountants are employed by a business firm or a not-for-profit organization.)

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Financial Accounting

External users of accounting information include investors, creditors, customers, and the government. These users are not directly involved in managing and operating the business. The area of accounting that provides external users with information is called **financial accounting** (The branch of accounting that is concerned with recording transactions using generally accepted accounting principles (GAAP) for a business or other economic unit and with a periodic preparation of various statements from such records.)

.

The objective of financial accounting is to provide relevant and timely information for the decision-making needs of users outside of the business. For example, financial reports on the operations and condition of the business are useful for banks and other creditors in deciding whether to lend money to the business. **General-purpose financial statements** (A type of financial accounting report that is distributed to external users. The term “general purpose” refers to the wide range of decision-making needs that the reports are designed to serve.) are one type of financial accounting report that is distributed to external users. The term *general-purpose* refers to the wide range of decision-making needs that these reports are designed to serve. Later in this chapter, general-purpose financial statements are described and illustrated.

> Link to Twitter
>
> **Twitter** uses financial accounting to prepare and distribute general-purpose financial statements.

1-1d Role of Ethics in Accounting and Business

The objective of accounting is to provide relevant, timely information for user decision making. Accountants must behave in an ethical manner so that the information they provide users will be trustworthy and, thus, useful for decision making. Managers and employees must also behave in an ethical manner in managing and operating a business. Otherwise, no one will be willing to invest in or loan money to the business.

Ethics (Moral principles that guide the conduct of individuals.) are moral principles that guide the conduct of individuals. Unfortunately, business managers and accountants sometimes behave in an unethical manner. Many of the managers of the companies listed in Exhibit 3 engaged in accounting or business fraud. These ethical violations led to fines, firings, and lawsuits. In some cases, managers were criminally prosecuted, convicted, and sent to prison.

Exhibit 3

Accounting and Business Frauds

Company	Nature of Accounting or Business Fraud	Result
Countrywide	CEO misled investors.	CEO paid $22.5 million penalty and was permanently banned from serving as an officer or director of a public company.
Enron	Fraudulently inflated its financial results.	Bankruptcy. Senior executives criminally convicted. More than $60 billion in stock market losses.

Company	Nature of Accounting or Business Fraud	Result
Goldman Sachs	Misstated and omitted key facts from investors.	Company agreed to pay $550 million fine and reformed business practices.
Wells Fargo	Improperly opened customer accounts without their permission.	CEO fined $17.5 million and banned from banking industry for life.
Xerox Corporation	Recognized $3 billion in sales prior to when it should have been recorded.	$10 million fine to SEC. Six executives forced to pay $22 million.

Business Insight

Business Strategies

Businesses normally use a (1) product-differentiation or (2) low-cost strategy to gain a competitive advantage and maximize their profits.

Using a product-differentiation strategy, a company distinguishes its product(s) in such a way that it is desirable to customers and uniquely different from its competitor's. Using this strategy, a company tries to win over customers to its product(s) and establish customer loyalty. If successful, the company can charge premium prices for its products. For example, **Apple Inc. (AAPL)** uses a product-differentiation strategy in developing and marketing its products.

Using a low-cost strategy, a company offers product(s) to customers at a lower cost (price) than its competitors. The low-cost strategy is normally used for products that are uniform in nature, and thus the company cannot use a product-differentiation strategy. For example, **Southwest Airlines Co. (LUV)** uses a low-cost strategy in providing airline services to passengers.

Risks of a product-differentiation strategy are that customers may not value the uniqueness of the company's product, competitors may duplicate the product's uniqueness, or that competitors may develop even more desirable attributes for their products. Risks of the low-cost strategy are that competitors may duplicate the company's low-cost processes or that competitors may develop new processes for achieving even lower costs.

What went wrong for the managers and companies listed in Exhibit 3? The answer normally involved one or both of the following two factors:

- **Failure of Individual Character:** Ethical managers and accountants are honest and fair. However, managers and accountants often face pressures from supervisors to meet company and investor expectations. In many of the cases in Exhibit 3, managers and accountants justified small ethical violations to avoid such pressures. However, these small violations became big violations as the company's financial problems became worse.

- **Culture of Greed and Ethical Indifference:** By their behavior and attitude, senior managers set the company culture. In most of the companies listed in Exhibit 3, the senior managers created a culture of greed and indifference to the truth.

As a result of the accounting and business frauds shown in Exhibit 3, Congress passed laws to monitor the behavior of accounting and business. For example, the **Sarbanes-Oxley Act (SOX)** (An act passed by Congress to restore public confidence and trust in the financial statements of companies.) was enacted. SOX established a new oversight body for the accounting profession called the **Public Company Accounting Oversight Board (PCAOB)** (A new oversight body for the accounting profession that was established by the Sarbanes-Oxley Act.). In addition, SOX established standards for independence, corporate responsibility, and disclosure.

How does one behave ethically when faced with financial or other types of pressure? Guidelines for behaving ethically follow:

1. Identify an ethical decision by using your personal ethical standards of honesty and fairness.
2. Identify the consequences of the decision and its effect on others.
3. Consider your obligations and responsibilities to those who will be affected by your decision.
4. Make a decision that is ethical and fair to those affected by it.

Link to Twitter

Twitter's "Code of Business Conduct and Ethics" can be found at https://cdn.cms-twdigitalassets.com/content/dam/legal-twitter/asset-download-files/en/code-of-conduct-092018-ext.pdf

1-1e Opportunities for Accountants

Numerous career opportunities are available for students majoring in accounting. Currently, the demand for accountants exceeds the number of new graduates entering the job market. This is partly due to the increased regulation of business caused by the accounting and business frauds shown in Exhibit 3. Also, more and more businesses have come to recognize the importance and value of accounting information.

As indicated earlier, accountants employed by a business are employed in private accounting. Private accountants have a variety of possible career options within a company. Some of these career options are shown in Exhibit 4 along with their starting salaries. As shown in Exhibit 4, several private accounting careers have certification options. Accountants who provide audit services, called *auditors*, verify the accuracy of financial records, accounts, and systems.

Exhibit 4

Accounting Career Paths and Salaries

Accounting Career Track	Description	Career Options	Annual Starting Salaries	Certification
Private Accounting	Accountants employed by companies, government, and not-for-profit entities.	Bookkeeper Payroll clerk General accountant Budget analyst Cost accountant Internal auditor Information technology auditor	$40,000 $40,000 $49,000 $53,000 $65,000 $48,000 $53,000	Certified Payroll Professional (CPP) Certified Management Accountant (CMA) Certified Internal Auditor (CIA) Certified

Accounting Career Track	Description	Career Options	Annual Starting Salaries	Certification
				Information Systems Auditor (CISA)
Public Accounting	Accountants employed individually or within a public accounting firm in audit and tax services.		$49,000	Certified Public Accountant (CPA)

Source: *Robert Half 2020 U.S. Salary Guide (Finance and Accounting), Robert Half International, Inc. (RHI) (https://www.roberthalf.com/salary-guide/accounting-and-finance).*

Accountants and their staff who provide services on a fee basis are said to be employed in **public accounting** (The field of accounting where accountants and their staff provide services on a fee basis.). In public accounting, an accountant may practice as an individual or as a member of a public accounting firm. Public accountants who have met a state's education, experience, and examination requirements may become **Certified Public Accountants (CPAs)** (Public accountant who has met a state's education, experience, and examination requirements.). CPAs typically perform general accounting, audit, or tax services. CPAs often have slightly better starting salaries than private accountants. Career statistics indicate, however, that these salary differences tend to disappear over time. The American Institute of Certified Public Accountants (AICPA) provides information and resources for students interested in accounting at www.startheregoplaces.com.

Ethics in Action

Bernie Madoff

Bernard L. "Bernie" Madoff was sentenced to 150 years in prison for defrauding thousands of investors in one of the biggest frauds in American history. Madoff's fraud started several decades earlier when he began a "Ponzi scheme" in his investment management firm, Bernard L. Madoff Investment Securities LLC.

In a Ponzi scheme, the investment manager uses funds received from new investors to pay a return to existing investors, rather than basing returns on the investments' actual performance. As long as the investment manager is able to attract new investors, he or she will have new funds to pay existing investors and continue the fraud. While most Ponzi schemes collapse quickly when the investment manager runs out of new investors, Madoff's reputation, popularity, and personal contacts provided a steady stream of investors, which allowed the fraud to survive for decades.

Because all functions within a business use accounting information, experience in private or public accounting provides a solid foundation for a career. Many positions in industry and in government agencies are held by individuals with accounting backgrounds.

1-2 Generally Accepted Accounting Principles (GAAP)

Objective 2 - Describe generally accepted accounting principles, including the underlying assumptions and principles.

Financial information in the United States is based on

generally accepted accounting principles (GAAP) (Generally accepted guidelines for the preparation of financial statements.)

. GAAP is a collection of *accounting standards*, *principles*, and *assumptions* that define how financial information will be reported.

- **Accounting standards** (The rules that determine the accounting for individual business transactions.)

  are the rules that determine the accounting for individual business transactions.

- **Accounting principles** (Principles that provide the framework upon which accounting standards are constructed.)

  and

  assumptions (Assumptions that provide the framework upon which accounting standards are constructed.)

  provide the framework upon which accounting standards are constructed.

Within the United States, the

Financial Accounting Standards Board (FASB) (The authoritative body that has the primary responsibility for developing accounting principles.)

has the primary responsibility for developing accounting standards. The FASB maintains an electronic database, called the

Accounting Standards Codification (An electronic database maintained by the Financial Accounting Standards Board (FASB) that contains all of the accounting standards that make up the generally accepted accounting principles (GAAP).)

, that contains all the accounting standards that make up GAAP. Changes in the FASB Codification are made using

Accounting Standards Updates (Published changes to accounting standards that are the source of updates to the Accounting Standards Codification.)

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The

Securities and Exchange Commission (SEC) (An agency of the U.S. government that has authority over the accounting and financial disclosures for companies whose shares of ownership (stock) are traded and sold to the public.)

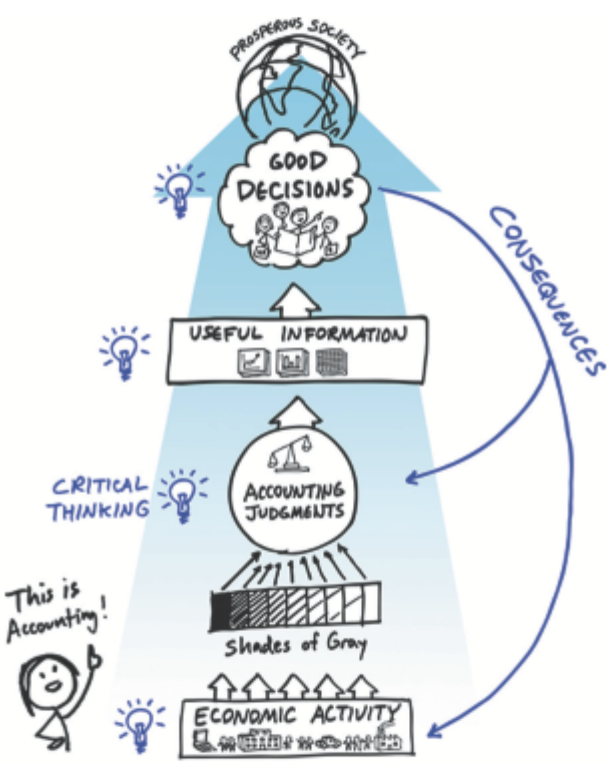
, an agency of the U.S. government, has authority over the accounting and financial disclosures for companies whose shares of ownership (stock) are traded and sold to the public. The SEC normally accepts the accounting standards set forth by the FASB. However, the SEC may issue *Staff Accounting Bulletins* on accounting matters that may not have been addressed by the FASB.

Outside the United States, most countries use accounting standards and principles adopted by the **International Accounting Standards Board (IASB)** (An organization that issues International Financial Reporting Standards for many countries outside the United States.). The IASB issues *International Financial Reporting Standards* (IFRS). In some cases, differences exist between FASB and IASB accounting principles. These differences are identified throughout the chapters of this text and in Appendix A.

Business Insight

Pathways Commission

The Pathways Commission issued its study titled *Charting a National Strategy for the Next Generation of Accountants*. The Commission was made up of diverse members and was jointly sponsored by the American Institute of Certified Public Accountants (AICPA) and the American Accounting Association (AAA). The Commission emphasized the importance of accounting for a prosperous society and good decision making. The Commission also emphasized that accountants must be critical thinkers who are comfortable addressing the shades of gray required by accounting judgments.



Source: *Charting a National Strategy for the Next Generation of Accountants, The Pathways Commission, July 2012.*

Using Data Analytics

What Is It?

A company's success will increasingly rely on the ability to collect, interpret, and gather insights from massive volumes of data.

Data analytics (The science of analyzing large amounts of raw data, sometimes called "big data," to discover patterns, identify anomalies, or gain other useful insights for decision making.)

is the science of analyzing raw data to discover patterns, identify anomalies, or gain other useful insights. The four basic types of data analytics are as follows:

Descriptive analytics Describes and summarizes outcomes.

Example: a sale report by product, region of country, and customer.

Diagnostic analytics Tries to explain results by identifying relationships among data.

Example: determining whether a YouTube video featuring a product increased sales within 48 hours after its first showing.

Predictive analytics Uses statistical methods to predict future outcomes.

Example: predicting the effects of methods for creating customer satisfaction on future sales.

Prescriptive analytics Recommends future actions for achieving company goals and objectives.

Example: analyzing the effects of energy saving alternatives on meeting the company's goal of reducing greenhouse gas emissions by 25%.

Data analytics is conducted using a variety of mathematical models, algorithms, and visualizations. Because of accounting's role in providing useful information, accountants are increasingly using data analytics to help businesses make better decisions. For this reason, we provide suggestions for the use of data analytics throughout the remainder of this text.

1-2a Characteristics of Financial Information

The primary goal of financial accounting is to provide information that is useful for decision making. To be useful, financial reports must possess two important characteristics: *relevance* and *faithful representation*.

- **Relevant** (A characteristic of financial reports that pertains to information having the potential to impact decision making.)
  information has the potential to impact decision making.
- **Faithful representation** (A characteristic of financial reports that pertains to information accurately reflecting an entity's economic activity or condition.)
  means that the information accurately reflects an entity's economic activity or condition.

The characteristics of relevant and faithful representation are enhanced by the following:

- **Comparability** (A secondary characteristic of financial information; comparability includes consistent reporting, that allows users to identify similarities and differences among reported items.)
  , which includes consistent reporting, allows users to identify similarities and differences among reported items.
- **Verifiability** (A secondary characteristic of financial information that allows users to agree on the meaning of reported items.)
  allows users to agree on the meaning of reported items.
- **Timeliness** (A secondary characteristic of financial information that requires distribution of financial reports in time to influence a user's decision.)
  requires distribution of financial reports in time to influence a user's decision.
- **Understandability** (A secondary characteristic of financial information that requires clear and concise financial reports that facilitate user interpretation and analysis.)
  requires clear and concise financial reports that facilitate user interpretation and analysis.

Business Insight

Covid-19 Pandemic

The coronavirus (COVID-19) pandemic is causing significant disruptions to companies and their business operations in the United States and throughout the world. As a result, the Financial Accounting Standards Board (FASB) has delayed the effective date of several accounting standards and is considering how to apply generally accepted accounting principles (GAAP) to a variety of issues generated by the pandemic. For example, companies with less than 500 employees may have received payroll loans under the Payroll Protection Program (PPP). Some or all of these loans may be forgiven if certain conditions are met. Currently, GAAP does not have specific guidance on the accounting and disclosures for this type of government assistance.

1-2b Assumptions

Financial accounting and generally accepted accounting principles are based upon the following assumptions:

- Monetary unit
- Time period
- Business entity
- Going concern

The **monetary unit assumption** (An accounting assumption that requires that financial reports be expressed in a single monetary unit, or currency.) requires that financial reports be expressed in a single money unit, or currency. This provides a common measurement of the effects of economic events and transactions on an entity. The monetary unit used is normally determined by the country in which the company operates. For example, in the United States, the U.S. dollar is used as the monetary unit.

The **time period assumption** (An accounting assumption that allows a company to report its economic activities on a regular basis for a specific period of time.) allows a company to report its economic activities on a regular basis for a specific period of time. In doing so, financial condition and changes in financial condition are reported periodically on a consistent basis. In the United States, reports are normally required on a yearly basis supplemented with quarterly reports.

Link to Twitter

Twitter publishes quarterly as well as yearly financial reports that are available at https://investor.twitterinc.com.

The annual accounting period adopted by a company is called its **fiscal year** (The annual accounting period adopted by a business.) . The fiscal year most commonly used is the calendar year beginning January 1 and ending December 31. However, other periods are not unusual, especially for companies organized as corporations. For example, a corporation may adopt a fiscal year that ends when business activities have reached the lowest point in its annual operating cycle, which allows more time to prepare financial reports. Such a fiscal year is called the **natural business year** (A fiscal year that ends when business activities have reached the lowest point in an annual operating cycle.) . For example, a company's fiscal year could begin August 1, 20Y7, and end on July 31, 20Y8, as follows:

The **business entity assumption** (A concept of accounting that limits the economic data in the accounting system to data related directly to the activities of the business.) limits the economic data in financial reports to that directly related to the activities of the business. In other words, the business is viewed as an entity separate from its owners, creditors, or other businesses. For example, the accountant for a business with one owner would record the activities of the business only and would not record the personal activities, property, or debts of the owner.

A business entity may take the form of a proprietorship, partnership, corporation, or limited liability company (LLC). Each of these forms and their major characteristics are listed in Exhibit 5.

Exhibit 5

Forms of Business Entities

Form of Business Entity	Characteristics and Advantages	Examples
 **Proprietorship** (A business owned by one individual.) is owned by one individual.	• 70% of business entities in the United States. • Easy and inexpensive to organize. • Resources are limited to those of the owner. • Used by small	• A & B Painting

Form of Business Entity	Characteristics and Advantages	Examples
	businesses.	
 **Partnership** (An unincorporated business form consisting of two or more persons conducting business as co-owners for profit.) is owned by two or more individuals.	• 10% of business organizations in the United States (combined with limited liability companies). • Combines the skills and resources of more than one person.	• Jones & Smith, Architects
 **Corporation** (A business organized under state or federal statutes as a separate legal entity.) is organized under state or federal statutes as a separate legal taxable entity.	• Generates 90% of business revenues. • 20% of the business organizations in the United States. • Ownership is divided into shares called stock. • Can obtain large amounts of resources by issuing stock. • Used by large businesses.	• **Alphabet Inc. (GOOG)** • **Apple Inc. (AAPL)** • **Ford Motor Company (F)**
 **Limited liability company (LLC)** (A business form consisting of one or more persons or entities filing an operating agreement with a state to conduct business with limited liability to the owners, yet treated as a partnership for tax purposes.) combines the	• 10% of business organizations in the United States (combined with partnerships). • Often used as an alternative to a partnership.	• **Boston Basketball Partners, LLC**

Form of Business Entity	Characteristics and Advantages	Examples
attributes of a partnership and a corporation.	• Has tax and legal liability advantages for owners.	

The three types of businesses discussed earlier—service, retail, and manufacturing—may be organized as proprietorships, partnerships, corporations, or limited liability companies.

International Connection

IFRS International Financial Reporting Standards (IFRS)

IFRS are considered to be more "principles-based" than U.S. GAAP, which is considered to be more "rules-based." For example, U.S. GAAP consists of approximately 17,000 pages, which include numerous industry-specific accounting rules. In contrast, IFRS allow more judgment in deciding how business transactions are recorded. Many believe that the strong regulatory and litigation environment in the United States is the cause for the more rules-based GAAP approach. Regardless, IFRS and GAAP share many common principles.

Because of the large amount of resources required to operate a manufacturing business, most manufacturers such as **Ford Motor Company (F)** are corporations. Most large retailers such as **Walmart (WMT)** and **The Home Depot (HD)** are also corporations. Companies organized as corporations often include Inc. as part of their name to indicate that they are incorporated. For example, Twitter's legal name is **Twitter, Inc**.

Link to Twitter

Although **Twitter** is organized as a corporation in Delaware, its principal offices are in San Francisco.

The

going concern assumption (An assumption that requires that financial reports be prepared assuming that the entity will continue operating in the future.)

requires that financial reports be prepared assuming that the entity will continue operating into the future. This assumption justifies reporting items such as equipment, buildings, and land at their initial or historical cost rather than liquidation or forced sale values.

Pathways Challenge

This Is Accounting!

Economic Activity

Over 20 years ago, **Starbucks (SBUX)** and **Pepsi (PEP)** created a business called **The North American Coffee Partnership**. The business combined Starbucks' expertise in coffee with Pepsi's ability to manufacture, market, and sell ready-to-drink coffee products. Its first product, Frappuccino, took off and today the business dominates the ready-to-drink market with over $2 billion in annual sales.

Critical Thinking/Judgment

Should the $2 billion in annual sales be reported as part of Starbucks' annual report?

Should the $2 billion in annual sales be reported as part of Pepsi's annual report?

Should the $2 billion in annual sales be reported as part of a separate business's annual report?

1-2c Principles

In addition to the preceding characteristics and assumptions, the following four principles are an integral part of financial accounting:

- Measurement
- Historical cost
- Revenue recognition
- Expense recognition

The **measurement principle** (A principle that requires that amounts be objective and verifiable.) determines the amount that will be recorded and reported. The measurement principle requires that amounts be *objective* and verifiable. An amount is objective if it is based upon independent, unbiased evidence. An amount is *verifiable* if it can be confirmed by a third party. Transactions between two independent parties, called **arm's-length transactions** (Transactions between two independent parties.) , provide amounts that are objective and verifiable.

To illustrate, assume that Aaron Publishers purchased the following building from Schenk Enterprises on February 20, 20Y1, for $150,000:

Price listed by Schenk Enterprises on January 1, 20Y1	$160,000
Aaron Publishers' initial offer to buy on January 31, 20Y1	140,000
Aaron Publishers' purchase price on February 20, 20Y1	150,000
Estimated selling price on December 31, 20Y3	220,000
Assessed value for property taxes, December 31, 20Y3	190,000

Aaron Publishers would record the building at the February 20, 20Y1, purchase price of $150,000. This amount is both objective and verifiable, as it was the result of a transaction between two independent parties. Recording an item at its initial transaction price is called the

historical cost principle (A concept of accounting that states that an asset should be recorded and maintained in the accounting records at its initial transaction price.)

or

cost principle (A concept of accounting that states that an asset should be recorded and maintained in the accounting records at its initial transaction price.)

. Under the historical cost principle, amounts do not normally change until another transaction occurs.

To illustrate, the fact that the preceding building has an estimated selling price of $220,000 on December 31, 20Y3, indicates that the building's value has increased. However, the $220,000 is not recorded in the accounting records because Aaron Publishers has not sold the building. If, however, Aaron sells the building on January 9, 20Y4, for $240,000, a profit of $90,000 ($240,000 − $150,000) would be recorded by Aaron Publishers.

Revenue (Increases in owner's equity as a result of providing services or selling goods to customers.)

is the amount earned (received) from providing services or selling goods to customers. The

revenue recognition principle (A concept of accounting that states that revenues are recorded when earned, which is when the services have been performed or products have been delivered to customers.)

determines when revenue is recorded in the accounting records. Normally, revenue is recorded when the services have been performed or goods are delivered to the customer.

Expenses (Amounts used to generate revenue; assets used up or services consumed in the process of generating revenues.)

are amounts used to generate revenue. The

expense recognition principle (A principle, sometimes called the matching principle, that requires expenses to be recorded in the same period as the related revenue; a concept of accounting in which expenses are matched with the revenue generated during a period by those expenses.)

, sometimes called the *matching principle*, requires expenses to be recorded in the same period as the related revenue. Doing so allows the reporting of a profit or loss for the period.

1-3 The Accounting Equation

Objective 3 - State the accounting equation and define each element of the equation.

The resources owned by a business are its **assets** (The resources owned by a business.) . Examples of assets include cash, land, buildings, and equipment. The rights or claims to the assets are divided into two types: (1) the rights of creditors and (2) the rights of owners. The rights of creditors are the debts of the business and are called **liabilities** (The rights of creditors that represent debts of the business.) . The rights of owners are called **equity** (The rights of the owners of a business.) . Since stockholders own a corporation, equity is called **stockholders' equity** (The ownership rights of stockholders in a corporation; the stockholders' rights to the assets in a corporation.) . For a proprietorship, partnership, or limited liability company, equity is called **owner's equity** (The equity for a proprietorship, partnership, or a limited liability company.) .

The following equation shows the relationship among assets, liabilities, and equity:

$$\textbf{Assets} = \textbf{Liabilities} + \textbf{Equity}$$

This equation is called the **accounting equation** (The equation that shows the relationship among assets, liabilities, and equity; expressed as Assets = Liabilities + Equity.) . Liabilities usually are shown before equity in the accounting equation because creditors have first rights to the assets.

Throughout this text, we use the corporate form of business. However, most of the concepts and principles described and illustrated also apply to proprietorships, partnerships, and limited liability companies.

Given any two amounts, the accounting equation may be solved for the third unknown amount. To illustrate, if the assets owned by a corporation amount to $100,000 and the liabilities amount to $30,000, the stockholders' equity is equal to $70,000, computed as follows:

$$\begin{array}{ccccc} \textbf{Assets} & - & \textbf{Liabilities} & = & \textbf{Stockholders' Equity} \\ \$100{,}000 & - & \$30{,}000 & = & \$70{,}000 \end{array}$$

Link to Twitter

Twitter's accounting equation for a recent year is:

$$\text{Assets (\$10,163 million)} = \text{Liabilities (\$3,357 million)} + \text{Stockholders' Equity (\$6,806 million)}.$$

The accounting equation is useful for reporting the financial condition and changes in financial condition of a company. For this reason, the accounting equation serves as the basis for designing financial accounting and reporting systems.

1-4 Business Transactions and the Accounting Equation

Objective 4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation.

Paying a monthly bill, such as a telephone bill of $168, affects a business's financial condition because it now has less cash on hand. Such an economic event or condition that directly changes an entity's financial condition or its results of operations is a

business transaction (An economic event or condition that directly changes an entity's financial condition or directly affects its results of operations.)

. For example, purchasing land for $50,000 is a business transaction. In contrast, a change in a business's credit rating does not directly affect cash or any other asset, liability, or stockholders' equity amount.

Business Insight

The Accounting Equation

The accounting equation serves as the basic foundation for the accounting systems of all companies. The accounting equation is used by the smallest business, such as the local convenience store, to the largest business, such as **The Coca-Cola Company (KO)**. Some examples taken from recent financial reports of well-known companies follow:

Company	Assets	=	Liabilities	+	Stockholders' Equity
Alphabet Inc. (GOOG)	$232,792	=	$55,164	+	$177,628
The Coca-Cola Company (KO)	$83,216	=	$64,158	+	$19,058
DuPont (DD)	$187,855	=	$93,563	+	$94,292
eBay (EBAY)	$22,819	=	$16,538	+	$6,281
Ford Motor Company (F)	$256,540	=	$220,608	+	$35,932
Microsoft Corporation (MSFT)	$286,556	=	$184,226	+	$102,330

Company	Assets	=	Liabilities	+	Stockholders’ Equity
Southwest Airlines Co. (LUV)	$25,895	=	$16,063	+	$9,832
Walmart Inc. (WMT)	$219,295	=	$146,799	+	$72,496

All business transactions can be stated in terms of changes in the elements of the accounting equation. How business transactions affect the accounting equation can be illustrated by using some typical transactions. As a basis for illustration, a business organized by Chris Clark is used.

Note

All business transactions can be stated in terms of changes in the elements of the accounting equation.

Assume that on November 1, 20Y3, Chris Clark organizes a corporation that will be known as **NetSolutions**. The first phase of Chris’s business plan is to operate NetSolutions as a service business assisting individuals and small businesses in developing web pages and installing computer software. Chris expects this initial phase of the business to last one to two years. During this period, Chris plans on gathering information on the software and hardware needs of customers. During the second phase of the business plan, Chris plans to expand NetSolutions into a personalized retailer of software and hardware for individuals and small businesses.

Each transaction during NetSolutions’ first month of operations is described in the following paragraphs. The effect of each transaction on the accounting equation is then shown.

Transaction A

Nov. 1, 20Y3 Chris Clark deposited $25,000 in a bank account in the name of NetSolutions in exchange for shares of common stock in the corporation.

A corporation issues **common stock** (Certificates issued by a corporation to investors as proof of their ownership rights; an account representing the ownership rights of investors in a corporation; a class of stock issued by a corporation that bears no preference rights.) to investors as proof of their ownership rights.

This transaction increases Cash under Assets (on the left side of the equation) by $25,000.

To balance the equation, Common Stock under Stockholders' Equity (on the right side of the equation) increases by the same amount.

The effect of this transaction on NetSolutions' accounting equation is as follows:

Assets	=	**Stockholders' Equity**
Cash		Common Stock
a. 25,000	=	25,000

The preceding accounting equation is only for the business, NetSolutions. Under the business entity assumption, Chris's personal assets, such as a home or personal bank account, and personal liabilities are excluded from the equation.

Transaction B

Nov. 5, 20Y3	NetSolutions paid $20,000 for the purchase of land as a future building site.

The land is located in a business park with access to transportation facilities. Chris Clark plans to rent office space and equipment during the first phase of the business plan. During the second phase, Chris plans to build an office and a warehouse for NetSolutions on the land.

The purchase of the land changes the makeup of the assets, but it does not change the total assets. The items in the equation prior to this transaction and the effect of the transaction follow. The new amounts are called *balances*.

	Assets			=	**Stockholders' Equity**
	Cash	+	Land		Common Stock
Bal.	25,000			=	25,000
b.	−20,000		+20,000		
Bal.	5,000		20,000		25,000
		25,000		=	25,000

Transaction C

Nov. 10, 20Y3	NetSolutions purchased supplies for $1,350 and agreed to pay the supplier in the near future.

You have probably used a credit card to buy clothing or other merchandise. In this type of transaction, you received clothing for a promise to pay your credit card bill in the future. That is, you received an asset and incurred a liability to pay a future bill. NetSolutions entered into a similar transaction by purchasing supplies for $1,350 and agreeing to pay the supplier in the near future. This type of transaction is called a purchase *on account* and is often described as follows: *Purchased supplies on account, $1,350*.

The liability created by a purchase on account is called an **account payable** (The liability created by a purchase on account.) . Items such as supplies that will be used in the business in the future are called **prepaid expenses** (Assets created by making advanced payments for expense items, such as insurance premiums or supplies, that will be used in the business in the future.) , which are assets. Thus, the effect of this transaction is to increase assets (Supplies) and liabilities (Accounts Payable) by $1,350, as follows:

	Assets			=	Liabilities + Stockholders' Equity	
	Cash	+ Supplies +	Land		Accounts Payable +	Common Stock
Bal.	5,000		20,000	=		25,000
c.		+1,350			+1,350	
Bal.	5,000	1,350	20,000		1,350	25,000
		26,350		=	26,350	

Transaction D

Nov. 18, 20Y3 — NetSolutions received cash of $7,500 for providing services to customers.

You may have earned money by painting houses or mowing lawns. If so, you received money for rendering services to a customer. Likewise, a business earns money by selling goods or services to its customers. This amount is called revenue.

During its first month of operations, NetSolutions received cash of $7,500 for providing services to customers. The receipt of cash increases NetSolutions' assets and also increases stockholders' equity in the business. The revenues of $7,500 are recorded in a Fees Earned column to the right of Common Stock. The effect of this transaction is to increase Cash and Fees Earned by $7,500, as follows:

	Assets			=	Liabilities + Stockholders' Equity		
	Cash	+ Supplies +	Land		Accounts Payable +	Common Stock +	Fees Earned
Bal.	5,000	1,350	20,000	=	1,350	25,000	
d.	+7,500						+7,500

$$\underbrace{\text{Bal. } 12{,}500 \quad 1{,}350 \quad 20{,}000}_{33{,}850} = \underbrace{1{,}350 \quad 25{,}000 \quad 7{,}500}_{33{,}850}$$

Different terms are used for the various types of revenues. As illustrated for NetSolutions, revenue from providing services is recorded as **fees earned** (Revenue from providing services.) . Revenue from the sale of merchandise is recorded as **sales** (How revenue from the sale of merchandise is recorded; the total amount charged customers for merchandise sold, including cash sales and sales on account.) . Other examples of revenue include rent, which is recorded as **rent revenue** (Earnings from property that is leased to others for use.) , and interest, which is recorded as **interest revenue** (Earnings received for interest.) .

Instead of receiving cash at the time services are provided or goods are sold, a business may accept payment at a later date. Such revenues are described as *fees earned on account* or *sales on account*. For example, if NetSolutions had provided services on account instead of for cash, transaction (d) would have been described as follows: *Fees earned on account, $7,500*.

In such cases, the firm has an asset, called an **account receivable** (An asset, which is a claim against the customer created by selling merchandise or services on credit.) , which is a claim against the customer. The effect of the transaction increases Accounts Receivable and Fees Earned. When customers pay their accounts, Cash increases and Accounts Receivable decreases.

Business Insight

Round-Tripping

ccounting principles require that a transaction have commercial substance. *Commercial substance* means that the transaction has an economic impact on the entity. An example of a transaction lacking commercial substance is round-tripping. Round-tripping is a situation whereby a company “sells” goods and services to another company and then, under a prearranged agreement, the customer resells the exact same goods and services back to the original company. Round-tripping has been used by companies to artificially inflate their sales. However, such agreements do not have commercial substance, since there is no economic change to either company after the round-trip. Thus, round-tripped sales are not transactions from an accounting perspective.

Transaction E

Nov. 30, 20Y3	NetSolutions paid the following expenses during the month: wages, $2,125; rent, $800; utilities, $450; and miscellaneous, $275.

During the month, NetSolutions spent cash or used up other assets in earning revenue. Assets used in this process of earning revenue are called expenses. Expenses include supplies used and payments for employee wages, utilities, and other services.

NetSolutions paid the following expenses during the month: wages, $2,125; rent, $800; utilities, $450; and miscellaneous, $275. Miscellaneous expenses include small amounts paid for such items as postage, coffee, and newspapers. The effect of expenses is the opposite of revenues in that expenses reduce assets and stockholders' equity. Like fees earned, the expenses are recorded in columns to the right of Common Stock. However, since expenses reduce stockholders' equity, the expenses are entered as negative amounts. The effect of this transaction is as follows:

	Assets			=	Liabilities +	Stockholders' Equity					
	Cash	+ Supplies	+ Land	=	Accounts Payable	+ Common Stock	+ Fees Earned	− Wages Exp.	− Rent Exp.	− Utilities Exp.	− Misc. Exp.
Bal.	12,500	1,350	20,000	=	1,350	25,000	7,500				
e.	−3,650							−2,125	−800	−450	−275
Bal.	8,850	1,350	20,000		1,350	25,000	7,500	−2,125	−800	−450	−275
	30,200			=	30,200						

Businesses usually record each revenue and expense transaction as it occurs. However, to simplify, NetSolutions' revenues and expenses are summarized for the month in transactions (d) and (e).

Transaction F

Nov. 30, 20Y3	NetSolutions paid creditors on account, $950.

When you pay your monthly credit card bill, you decrease the cash and decrease the amount you owe to the credit card company. Likewise, when NetSolutions paid $950 to creditors during the month, it reduced assets and liabilities, as follows:

	Assets			=	Liabilities +	Stockholders' Equity					
	Cash	+ Supplies	+ Land	=	Accounts Payable	+ Common Stock	+ Fees Earned	− Wages Exp.	− Rent Exp.	− Utilities Exp.	− Misc. Exp.
Bal.	8,850	1,350	20,000	=	1,350	25,000	7,500	−2,125	−800	−450	−275
f.	−950				−950						
Bal.	7,900	1,350	20,000		400	25,000	7,500	−2,125	−800	−450	−275

29,250 = 29,250

Paying an amount on account is different from paying an expense. The paying of an expense reduces stockholders' equity, as illustrated in transaction (e). Paying an amount on account reduces the amount owed on a liability.

Transaction G

Nov. 30, 20Y3	Chris Clark determined that the cost of supplies on hand at the end of the month was $550.

The cost of the supplies on hand (not yet used) at the end of the month is $550. Thus, $800 ($1,350 − $550) of supplies must have been used during the month. This decrease in supplies is recorded as an expense, as follows:

	Assets			=	Liabilities +	Stockholders' Equity						
	Cash +	Supplies +	Land		Accounts Payable +	Common Stock	+ Fees Earned −	Wages Exp. −	Rent Exp. −	Supplies Exp. −	Utilities Exp. −	Misc. Exp.
Bal.	7,900	1,350	20,000	=	400	25,000	7,500	−2,125	−800		−450	−275
g.		−800								−800		
Bal.	7,900	550	20,000		400	25,000	7,500	−2,125	−800	−800	−450	−275
	28,450			=	28,450							

Transaction H

Nov. 30, 20Y3	Paid dividends, $2,000.

Dividends (Distributions of earnings to stockholders; an account representing the distribution of a corporation's earnings to stockholders.)

are distributions of earnings to stockholders. The payment of dividends decreases cash and stockholders' equity. Like expenses, dividends are recorded in a separate column to the right of Common Stock as a negative amount. The effect of the payment of dividends of $2,000 is as follows:

	Assets			=	Liabilities +	Stockholders' Equity							
	Cash +	Supp. +	Land		Accounts Payable +	Common Stock	− Dividends +	Fees Earned −	Wages Exp. −	Rent Exp. −	Supplies Exp. −	Utilities Exp. −	Misc. Exp.
Bal.	7,900	550	20,000	=	400	25,000		7,500	−2,125	−800	−800	−450	−275
h.	−2,000						−2,000						
Bal.	5,900	550	20,000		400	25,000	−2,000	7,500	−2,125	−800	−800	−450	−275
	26,450			=	26,450								

Dividends should not be confused with expenses. Dividends do not represent assets or services used in the process of earning revenues. Instead, dividends are considered a distribution of earnings to stockholders.

1-4a Summary

The transactions of NetSolutions are summarized in Exhibit 6. Each transaction is identified by letter, and the balance of each accounting equation element is shown after every transaction.

Exhibit 6

Summary of Transactions for NetSolutions

	Assets			= Liabilities +	Stockholders' Equity							
	Cash	+ Supp. +	Land	= Accounts Payable +	Common Stock	− Dividends	+ Fees Earned	− Wages Exp.	− Rent Exp.	− Supplies Exp.	− Utilities Exp.	− Misc. Exp.
a.	+25,000				+25,000							
b.	−20,000		+20,000									
Bal.	5,000		20,000		25,000							
c.		+1,350		+1,350								
Bal.	5,000	+1,350	20,000	+1,350	25,000							
d.	+7,500						+7,500					
Bal.	12,500	1,350	20,000	1,350	25,000		7,500					
e.	−3,650							−2,125	−800		−450	−275
Bal.	8,850	1,350	20,000	1,350	25,000		7,500	−2,125	−800		−450	−275
f.	−950			−950								
Bal.	7,900	1,350	20,000	400	25,000		7,500	−2,125	−800		−450	−275
g.		−800								−800		
Bal.	7,900	550	20,000	400	25,000		7,500	−2,125	−800	−800	−450	−275
h.	−2,000					−2,000						
Bal.	5,900	550	20,000	400	25,000	−2,000	7,500	−2,125	−800	−800	−450	−275

26,450 = 26,450

You should note the following:

- The effect of every transaction *is an increase or a decrease in one or more of the accounting equation elements*.
- The two sides of the accounting equation are *always equal*.
- The stockholders' equity is *increased by amounts invested by stockholders (common stock)*.
- The stockholders' equity is *increased by revenues and decreased by expenses*.
- The stockholders' equity is *decreased by dividends paid to stockholders*.

1-4b Classifications of Stockholders’ Equity

Stockholders’ equity is classified as:

- Common Stock
- Retained Earnings

Common stock is shares of ownership distributed to investors of a corporation. It represents the portion of stockholders’ equity contributed by investors. For **NetSolutions**, shares of common stock of $25,000 were distributed to Chris Clark in exchange for investing in the business.

Retained earnings (The stockholders’ equity created from business operations through revenue and expense transactions; an account representing the net income retained in a corporation.)

is the stockholders’ equity created from business operations through revenue and expense transactions. For NetSolutions, retained earnings of $3,050 were created by its November operations (revenue and expense transactions), computed as follows:

NetSolutions Retained Earnings
November Operations
(Revenue and Expense Transactions)

	Fees Earned	−	Wages Exp.	−	Rent Exp.	−	Supplies Exp.	−	Utilities Exp.	−	Misc. Exp.
Transaction d.	+7,500										
Transaction e.			−2,125		−800				−450		−275
Transaction g.							−800				
Balance, Nov. 30	7,500		−2,125		−800		−800		−450		−275

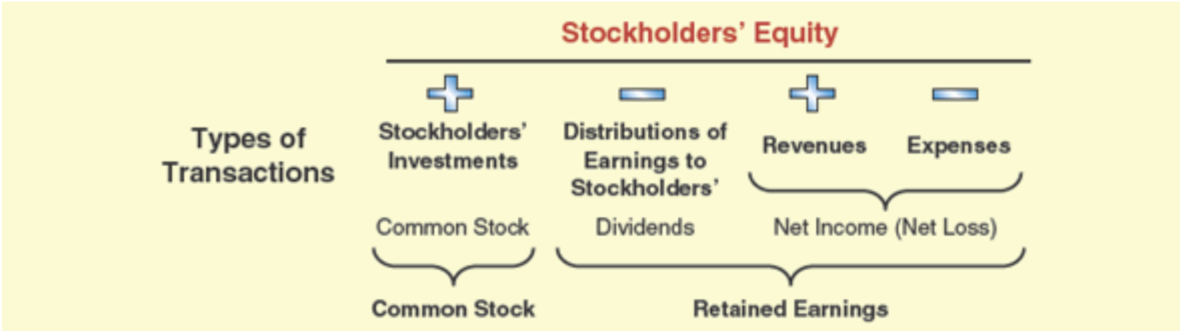
$3,050

Stockholders’ equity created by investments by stockholders (common stock) and by business operations (retained earnings) are reported separately. Since dividends are distributions of earnings to stockholders, dividends reduce retained earnings. NetSolutions paid $2,000 in dividends during November, thus reducing retained earnings to $1,050 ($3,050 − $2,000).

The effects of investments by stockholders, dividends, revenues, and expenses on stockholders’ equity are illustrated in Exhibit 7.

Exhibit 7

Effects of Transactions on Stockholders’ Equity



Check up Corner 1-1

Business Transactions and the Accounting Equation

Drive Time Delivery is a local delivery service operating in Cleveland, Ohio. On February 1, Drive Time has the following balances: Cash, $32,500; Accounts Receivable, $5,000; Accounts Payable, $2,500; Common Stock, $32,500; Fees Earned, $5,000; Wages Expense, $2,500.

Drive Time Delivery completed the following transactions during February:

a. Received cash from owner as an additional investment in common stock, $20,000.

b. Paid creditors on account, $2,000.

c. Received cash from customers on account, $5,000.

d. Billed customers for delivery services on account, $18,000.

e. Paid wages expense, $10,000.

f. Paid utilities expense, $3,000.

g. Paid dividends, $4,500.

Indicate the effect that each of these transactions has on the following accounting equation elements: Cash, Accounts Receivable, Accounts Payable, Common Stock, Dividends, Fees Earned, Wages Expense, Utilities Expense.

1-5 Financial Statements

Objective 5 - Describe the financial statements of a corporation and explain how they interrelate.

After transactions have been recorded and summarized, reports are prepared for users. The accounting reports providing this information are called

financial statements (Financial reports that summarize the effects of events on a business.)

. The primary financial statements of a corporation are the income statement, statement of stockholders' equity, balance sheet, and statement of cash flows. The order in which the financial statements are prepared and the nature of each statement are described in Exhibit 8.

Exhibit 8

Financial Statements

Order Prepared	Financial Statement	Description of Statement
1.	**Income statement** (A summary of the revenue and expenses for a specific period of time, such as a month or a year.)	A summary of the revenue and expenses *for a specific period of time*, such as a month or a year.
2.	**Statement of stockholders' equity** (A summary of the changes in the stockholders' equity in a corporation that have occurred during a specific period of time, such as a month or a year.)	A summary of the changes in stockholders' equity that have occurred *during a specific period of time*, such as a month or a year.

Order Prepared	Financial Statement	Description of Statement
3.	**Balance sheet** (A list of the assets, liabilities, and stockholders' equity as of a specific date, usually at the close of the last day of a month or a year.)	A list of the assets, liabilities, and stockholders' equity *as of a specific date*, usually at the close of the last day of a month or a year.
4.	**Statement of cash flows** (A summary of the cash receipts and cash payments for a specific period of time, such as a month or a year.)	A summary of the cash receipts and cash payments for a *specific period of time*, such as a month or a year.

The four financial statements and their interrelationships are illustrated in Exhibit 9, The data for the statements are taken from the summary of **NetSolutions**' transactions in Exhibit 6.

Exhibit 9

Financial Statements for NetSolutions

NetSolutions
Income Statement
For the Month Ended November 30, 20Y3

Fees earned		$ 7,500
Expenses:		
Wages expense	$2,125	
Rent expense	800	
Supplies expense	800	
Utilities expense	450	
Miscellaneous expense	275	
Total expenses		(4,450)
Net income		$ 3,050

NetSolutions
Statement of Stockholders' Equity
For the Month Ended November 30, 20Y3

	Common Stock	Retained Earning	Total
Balances, November 1, 20Y3	$ 0	$ 0	$ 0
Issued common stock	25,000		25,000
Net income		3,050	3,050
Dividends		(2,000)	(2,000)
Balances, November 30, 20Y3	$ 25,000	$ 1,050	$ 26,050

NetSolutions
Balance Sheet

November 30, 20Y3

Assets		
Cash		$ 5,900
Supplies		550
Land		20,000
Total assets		$26,450
Liabilities		
Accounts payable		$ 400
Stockholders' Equity		
Common stock	$25,000	
Retained earnings	1,050	
Total stockholders' equity		26,050
Total liabilities and stockholders' equity		$26,450

NetSolutions
Statement of Cash Flows
For the Month Ended November 30, 20Y3

Cash flows from (used for) operating activities:		
Cash received from customers	$ 7,500	
Cash paid for expenses and to creditors	(4,600)	
Net cash flows from operating activities		$ 2,900
Cash flows from (used for) investing activities:		
Cash paid for acquisition of land		(20,000)
Cash flows from (used for) financing activities:		
Cash received from issuing common stock	$ 25,000	
Cash dividends	(2,000)	
Net cash flows from financing activities		23,000
Net increase in cash		$ 5,900
Cash balance, November 1, 20Y3		0
Cash balance, November 30, 20Y3		$ 5,900

All financial statements are identified by the name of the business, the title of the statement, and the *date* or *period of time*. The data presented in the income statement, the statement of stockholders' equity, and the statement of cash flows are for a period of time. The data presented in the balance sheet are for a specific date.

1-5a Income Statement

The income statement reports the revenues and expenses for a period of time, based on the revenue and expense recognition principles. These principles match revenues and their related expenses so that they are reported in the same period. The excess of the revenue over the expenses is called **net income** (The amount by which revenues exceed expenses.) , **net profit** (The amount by which revenues exceed expenses.) , or **earnings** (The amount by which revenues exceed expenses.) . If the expenses exceed the revenue, the excess is a **net loss** (The amount by which expenses exceed revenues.) .

Note

When revenues exceed expenses, it is referred to as ***net income, net profit,*** or ***earnings***. When expenses exceed revenues, it is referred to as ***net loss***.

Link to Twitter

For a recent year, **Twitter** reported net income of $1,206 million.

The revenue and expenses for **NetSolutions** were shown in Exhibit 6 as separate increases and decreases. Net income for a period increases the stockholders' equity (retained earnings) for the period. A net loss decreases stockholders' equity (retained earnings) for the period.

The revenue, expenses, and net income of $3,050 for NetSolutions are reported on the income statement in Exhibit 9. The order in which the expenses are listed in the income statement varies among businesses. Most businesses list expenses in order of size, beginning with the larger items. Miscellaneous expense is usually shown as the last item, regardless of the amount.

Business Insight

Inclusivity

Investors and other business stakeholders are increasingly concerned not only about whether a company earns a net income, but also about a company's impact on society. For example, a company that practices inclusivity has as an objective that every person should have equal rights, support, consideration, and opportunities to achieve their full potential. To achieve this objective, an inclusive company will enact policies and procedures that are accommodating and respectful of a person's race, ethnicity, sexual orientation, gender identity, physical abilities, religion, age, and culture.

1-5b Statement of Stockholders’ Equity

The statement of stockholders’ equity reports the changes in stockholders’ equity for a period of time. It is prepared *after* the income statement, because the net income or net loss for the period is reported in the Retained Earnings column. It is prepared *before* the balance sheet, because the amount of common stock and retained earnings at the end of the period is reported on the balance sheet. Because of this, the statement of stockholders’ equity is viewed as the connecting link between the income statement and the balance sheet.

NetSolutions had three types of transactions during November that affected its stockholders’ equity:

- Common stock of $25,000 issued to Chris Clark.
- Revenues and expenses, which resulted in net income of $3,050.
- Dividends of $2,000 paid to stockholders (Chris Clark).

These transactions are summarized in the statement of stockholders’ equity for **NetSolutions** shown in Exhibit 9.

Changes in each stockholders’ equity element are reported in a separate column on the statement of stockholders’ equity. Since NetSolutions was organized on November 1, there are no beginning balances for Common Stock or Retained Earnings. During November, common stock of $25,000 was issued and, thus, is entered in the Common Stock column. Net income of $3,050 and dividends of $2,000 are entered in the Retained Earnings column, yielding an ending balance of $1,050. Each change is carried over to the Total column. After all changes are entered, the columns are totaled, representing the final balances as of November 30. These ending balances for Common Stock and Retained Earnings and the total stockholders’ equity are reported on the November 30, 20Y3, balance sheet shown in Exhibit 9.

The ending common stock and retained earnings balances for November become the beginning balances for December. To illustrate, assume that during December NetSolutions issued no common stock, earned net income of $4,055, and paid dividends of $2,000. The statement of stockholders’ equity for December would be as follows:

NetSolutions
Statement of Stockholders’ Equity
For the Month Ended December 31, 20Y3

	Common Stock	Retained Earnings	Total

	Stock	Earnings	Total
Balances, December 1, 20Y3	$25,000	$ 1,050	$26,050
Net income		4,055	4,055
Dividends		(2,000)	(2,000)
Balances, December 31, 20Y3	$25,000	$ 3,105	$28,105

Instead of a statement of stockholders' equity, companies may prepare a **retained earnings statement** (A summary of the changes in the retained earnings in a corporation that have occurred during a specific period of time, such as a month or a year.) . This is often the case when a company has few (if any) common stock transactions. In such cases, only retained earnings changes from period to period.

To illustrate, a retained earnings statement for NetSolutions for December is as follows:

NetSolutions Retained Earnings Statement For the Month Ended December 31, 20Y3		
Retained earnings, December 1, 20Y3		$1,050
Net income	$ 4,055	
Dividends	(2,000)	
Increase in retained earnings		2,055
Retained earnings, December 31, 20Y3		$3,105

Since most large companies report a statement of stockholders' equity, the statement of stockholders' equity will be used throughout the remainder of this text.

1-5c Balance Sheet

The balance sheet in Exhibit 9 reports the amounts of **NetSolutions**' assets, liabilities, and stockholders' equity as of November 30, 20Y3, in a vertical format. This form of balance sheet is commonly used and is called the **report form** (A form of balance sheet with the "Liabilities" and "Stockholders' Equity" sections presented below the "Assets" section.)
.

The asset and liability amounts are taken from the last line of the summary of transactions in Exhibit 6. The amounts for common stock, retained earnings, and total stockholders' equity are taken from the statement of stockholders' equity.

The Assets section of the balance sheet presents assets in the order that they will be converted into cash or used in operations. Cash is presented first, followed by receivables, supplies, prepaid insurance, and other assets. The assets of a more permanent nature are shown next, such as land, buildings, and equipment.

In the Liabilities section of the balance sheet in Exhibit 9, accounts payable is the only liability. When there are two or more liabilities, each should be listed and the total amount of liabilities presented as follows:

Liabilities		
Accounts payable	$12,900	
Wages payable	2,570	
Total liabilities		$15,470

1-5d Statement of Cash Flows

As discussed earlier, businesses engage in three types of activities. As a result, the statement of cash flows consists of the following three sections, as shown in Exhibit 9:

1. operating activities
2. investing activities
3. financing activities

Cash Flows from Operating Activities

This section reports a summary of cash receipts and cash payments from operations. The net cash flow from operating activities normally differs from the amount of net income for the period. In Exhibit 9, **NetSolutions** reported net cash flows from operating activities of $2,900 and net income of $3,050. This difference occurs because revenues and expenses may not be recorded at the same time that cash is received from customers or paid to creditors.

Cash Flows from Investing Activities

This section reports the cash transactions for the acquisition and sale of relatively permanent assets. Exhibit 9 reports that **NetSolutions** paid $20,000 for the purchase of land during November.

Cash Flows from Financing Activities

This section reports the cash transactions related to cash investments by stockholders, borrowings, and dividends. Exhibit 9 shows that Chris Clark invested $25,000 in exchange for common stock of **NetSolutions**. NetSolutions also paid $2,000 of dividends during November.

Link to Twitter

For a recent year, **Twitter** reported $1,340 million of cash inflows from operating activities, $2,056 million of cash used for investing activities, $978 million of cash from financing activities, and net increase in cash of $262 million.

Preparing NetSolutions' Statement of Cash Flows

Preparing the statement of cash flows requires that each of the November cash transactions for **NetSolutions** be classified as an operating, investing, or financing activity. Using the summary of transactions shown in Exhibit 6, the November cash transactions for NetSolutions are classified as follows:

Transaction	Amount	Cash Flow Activity
a.	$25,000	Financing (Issued common stock)
b.	–20,000	Investing (Purchase of land)
d.	7,500	Operating (Fees earned)
e.	–3,650	Operating (Payment of expenses)
f.	–950	Operating (Payment of account payable)
h.	–2,000	Financing (Paid dividends)

Transactions (c) and (g) are not listed since they did not involve a cash receipt or payment. In addition, the payment of accounts payable in transaction (f) is classified as an operating activity because the account payable arose from the purchase of supplies, which are used in operations. Using the preceding classifications of November cash transactions, the statement of cash flows is prepared as shown in Exhibit 9.

The ending cash balance shown on the statement of cash flows is also reported on the balance sheet as of the end of the period. To illustrate, the ending cash of $5,900 reported on the November statement of cash flows in Exhibit 9 is also reported as the amount of cash on hand in the November 30, 20Y3, balance sheet.

Since November is NetSolutions' first period of operations, the net cash flow for November and the November 30, 20Y3, cash balance are the same amount, $5,900, as shown in Exhibit 9. In later periods, NetSolutions will report in its statement of cash flows a beginning cash balance, an increase or a decrease in cash for the period, and an ending cash balance. For example, assume that for December NetSolutions has a decrease in cash of $3,835. The last three lines of NetSolutions' statement of cash flows for December would be as follows:

Decrease in cash	$(3,835)
Cash as of December 1, 20Y3	5,900
Cash as of December 31, 20Y3	$ 2,065

1-5e Interrelationships among Financial Statements

Financial statements are prepared in the order of the income statement, statement of stockholders' equity, balance sheet, and statement of cash flows. This order is important because the financial statements are interrelated. These interrelationships for **NetSolutions** are shown in Exhibit 9 and are described in Exhibit 10.

Exhibit 10

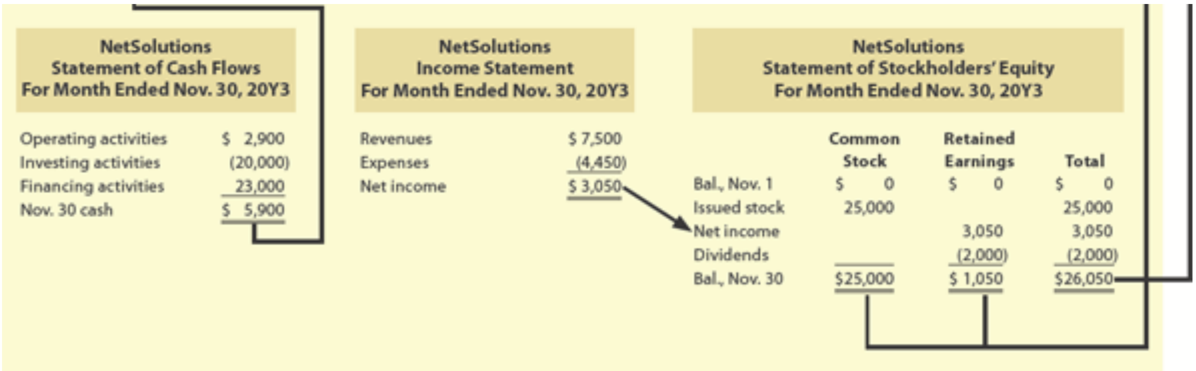
Financial Statement Interrelationships

Financial Statements	Interrelationship	NetSolutions Example ([Exhibit 9](#))
Income Statement *and* Statement of Stockholders' Equity	Net income or net loss reported on the income statement is also reported on the statement of stockholders' equity as either an addition (net income) to or deduction (net loss) from the beginning retained earnings.	NetSolutions' net income of $3,050 for November is added to the beginning retained earnings on November 1, 20Y3, of $0 on the statement of stockholders' equity.
Statement of Stockholders' Equity *and* Balance Sheet	Common stock, retained earnings, and total stockholders' equity at the end of the period are reported on the statement of stockholders' equity and balance sheet.	NetSolutions' common stock of $25,000, retained earnings of $1,050, and total stockholders' equity of $26,050 as of November 30, 20Y3, are also reported on the balance sheet.
Balance Sheet *and* Statement of Cash Flows	The cash reported on the balance sheet is also reported as the end-of-period cash on the statement of cash flows.	Cash of $5,900 reported on the balance sheet as of November 30, 20Y3, is also reported on the November statement of cash flows as the end-of-period cash.

The unique role of the balance sheet as the connecting link between the statement of cash flows, income statement, and statement of stockholders' equity is illustrated in Exhibit 11 for NetSolutions.

Exhibit 11

Balance Sheet as Connecting Link



NetSolutions Statement of Cash Flows For Month Ended Nov. 30, 20Y3	
Operating activities	$ 2,900
Investing activities	(20,000)
Financing activities	23,000
Nov. 30 cash	$ 5,900

NetSolutions Income Statement For Month Ended Nov. 30, 20Y3	
Revenues	$ 7,500
Expenses	(4,450)
Net income	$ 3,050

NetSolutions Statement of Stockholders' Equity For Month Ended Nov. 30, 20Y3	Common Stock	Retained Earnings	Total
Bal., Nov. 1	$ 0	$ 0	$ 0
Issued stock	25,000		25,000
Net income		3,050	3,050
Dividends		(2,000)	(2,000)
Bal., Nov. 30	$25,000	$ 1,050	$26,050

The preceding interrelationships are important in analyzing financial statements and the impact of transactions on a business. In addition, these interrelationships serve as a check on whether the financial statements are prepared correctly. For example, if the ending cash on the statement of cash flows does not agree with the balance sheet cash, then an error has occurred.

Check up Corner 1-2

Financial Statements

Levart Travel Service's assets and liabilities at December 31, 20Y6, and its revenue and expenses for the year follow.

Accounts payable	$ 12,200	Land	$ 90,000
Accounts receivable	31,350	Miscellaneous expense	12,950
Cash	53,050	Office expense	63,000
Common stock	100,000	Supplies	3,350
Fees earned	263,200	Wages expense	131,700

The retained earnings were $30,000 on January 1, 20Y6, the beginning of the year. During the year, no common stock was issued and dividends of $20,000 were paid.

a. Prepare an income statement for the year ended December 31, 20Y6.

b. Prepare a statement of stockholders' equity for the year ended December 31, 20Y6.

c. Prepare a balance sheet as of December 31, 20Y6.

d. Indicate the interrelationships of these three financial statements.

Analysis for Decision Making

Ratio of Liabilities to Stockholders' Equity

Objective 6 - Describe and illustrate the use of the ratio of liabilities to stockholders' equity in evaluating a company's financial condition.

The basic financial statements illustrated in this chapter are useful to bankers, creditors, stockholders, and others in analyzing and interpreting the financial performance and condition of a company. Various tools and techniques that are often used to analyze and interpret a company's financial performance and condition are described and illustrated in the Analysis for Decision Making section. We begin with a method for analyzing the ability of a company to pay its creditors.

The relationship between liabilities and stockholders' equity can be expressed as a **ratio of liabilities to stockholders' equity** (A comprehensive leverage ratio that measures the relationship of the claims of creditors to stockholders' equity; a solvency ratio that measures how much of the company is financed by debt and equity, computed as total liabilities divided by total stockholders' equity.) , as follows:

$$\text{Ratio of Liabilities to Stockholders' Equity} = \frac{\text{Total Liabilities}}{\text{Total Stockholders' Equity}}$$

To illustrate, the following data (in millions) from recent balance sheets of **Twitter (TWTR)** and **Alphabet (GOOG)** are used.

	Twitter	Alphabet
End of Year 1		
Total liabilities	$2,365	$ 44,793
Total stockholders' equity	5,047	152,502
End of Year 2		
Total liabilities	$3,357	$ 55,164
Total stockholders' equity	6,806	177,628

The ratios of liabilities to stockholders' equity for Twitter and Alphabet are computed as follows:

$$\text{Ratio of Liabilities to Stockholders' Equity} = \frac{\text{Total Liabilities}}{\text{Total Stockholders' Equity}}$$

Twitter:

End of Year 1: $\frac{\$2,365}{\$5,047} = 0.47$

End of Year 2: $\frac{\$3,357}{\$6,806} = 0.49$

Alphabet:

End of Year 1: $\frac{\$44,793}{\$152,502} = 0.29$

End of Year 2: $\frac{\$55,164}{\$177,628} = 0.31$

The rights of creditors to a business's assets come before the rights of stockholders. Thus, the lower the ratio of liabilities to stockholders' equity, the better able the company is to withstand poor business conditions and to pay its obligations to creditors.

Alphabet is a very profitable company that requires very little debt. Alphabet's ratio of liabilities to stockholders' equity was 0.29 at the end of Year 1, while increasing slightly to 0.31 at the end of Year 2. Ratios less than 1.0 are protective to creditors. Thus, Alphabet's ratios indicate little creditor risk. In contrast, Twitter's ratio of liabilities to stockholders' equity of 0.49 at the end of Year 2 is over 50% more than that of Alphabet's, indicating more risk to Twitter's creditors. Creditors normally would not be concerned with a liabilities to stockholders' equity ratio of 0.49. In addition, the increase to 0.49 in Year 2 from 0.47 in Year 1 indicates only a minor decrease in protection for creditors.

Make a Decision

Ratio of Liabilities to Stockholders' Equity

Compare Amazon.com **to Best Buy (**MAD 1-1**) (Continuing company analysis)**

Analyze Target for Three Years (MAD 1-2 **)**

Analyze Walmart for Three Years (MAD 1-3 **)**

Compare Target and Walmart (MAD 1-4 **)**

Compare Wendy's and Chipotle Mexican Grill (MAD 1-5 **)**

1-6 Chapter Review

1-6a Let's Review Chapter Summary

1. A business provides goods or services (outputs) to customers with the objective of earning a profit. Three types of businesses include service, retail, and manufacturing businesses. Businesses engage in operating, investing, and financing activities. Accounting is an information system that provides reports to users about the economic activities and condition of a business. Ethics are moral principles that guide the conduct of individuals. Good ethical conduct depends on individual character and company culture. Accountants are engaged in private accounting or public accounting.

2. Generally accepted accounting principles (GAAP) are used in preparing financial statements. To be useful, financial reports should provide information that is relevant and a faithful representation of the economic activity or condition, which are enhanced by comparability, verifiability, timeliness, and understandability. GAAP is based upon the assumptions of monetary unit, time period, business entity, and going concern. The principles of measurement, historical cost, revenue recognition, and expense recognition are an integral part of GAAP. The Financial Standards Board (FASB), Securities and Exchange Commission (SEC), and International Accounting Standards Board (IASB) develop standards that are incorporated into GAAP.

3. The resources owned by a business and the rights or claims to these resources may be stated in the form of an equation, as follows: $\mathbf{Assets} = \mathbf{Liabilities} + \mathbf{Equity}$.

4. All business transactions can be stated in terms of the change in one or more of the three elements of the accounting equation.

5. The primary financial statements of a corporation are the income statement, the statement of stockholders' equity, the balance sheet, and the statement of cash flows. The income statement reports a period's net income or net loss, which is also reported on the statement of stockholders' equity. The ending common stock and retained earnings reported on the statement of stockholders' equity are also reported on the balance sheet. The ending cash balance is reported on the balance sheet and the statement of cash flows.

6. The relationship between liabilities and stockholders' equity can be expressed as a ratio of liabilities to stockholders' equity, which is computed as total liabilities ÷ total stockholders' equity. Since the rights of creditors to a business's assets come before the rights of stockholders, the lower the ratio the better able the company is to withstand poor business conditions and to pay its obligations to creditors.

Chapter Review

1-6b Key Terms

account payable (The liability created by a purchase on account.)

account receivable (An asset, which is a claim against the customer created by selling merchandise or services on credit.)

accounting (An information system that provides reports to stakeholders about the economic activities and condition of a business.)

accounting assumptions (Assumptions that provide the framework upon which accounting standards are constructed.)

accounting equation (The equation that shows the relationship among assets, liabilities, and equity; expressed as Assets = Liabilities + Equity.)

accounting principles (Principles that provide the framework upon which accounting standards are constructed.)

accounting standards (The rules that determine the accounting for individual business transactions.)

Accounting Standards Codification (An electronic database maintained by the Financial Accounting Standards Board (FASB) that contains all of the accounting standards that make up the generally accepted accounting principles (GAAP).)

Accounting Standards Updates (Published changes to accounting standards that are the source of updates to the Accounting Standards Codification.)

arm's-length transactions (Transactions between two independent parties.)

assets (The resources owned by a business.)

balance sheet (A list of the assets, liabilities, and stockholders' equity as of a specific date, usually at the close of the last day of a month or a year.)

business (An organization in which basic resources (inputs), such as materials and labor, are assembled and processed to provide goods or services (outputs) to customers.)

business entity assumption (A concept of accounting that limits the economic data in the accounting system to data related directly to the activities of the business.)

business transaction (An economic event or condition that directly changes an entity's financial condition or directly affects its results of operations.)

Certified Public Accountants (CPAs) (Public accountant who has met a state's education, experience, and examination requirements.)

common stock (Certificates issued by a corporation to investors as proof of their ownership rights; an account representing the ownership rights of investors in a corporation; a class of stock issued by a corporation that bears no preference rights.)

comparability (A secondary characteristic of financial information; comparability includes consistent reporting, that allows users to identify similarities and differences among reported items.)

corporation (A business organized under state or federal statutes as a separate legal entity.)

cost principle (A concept of accounting that states that an asset should be recorded and maintained in the accounting records at its initial transaction price.)

data analytics (The science of analyzing large amounts of raw data, sometimes called "big data," to discover patterns, identify anomalies, or gain other useful insights for decision making.)

Dividends (Distributions of earnings to stockholders; an account representing the distribution of a corporation's earnings to stockholders.)

earnings (The amount by which revenues exceed expenses.)

equity (The rights of the owners of a business.)

ethics (Moral principles that guide the conduct of individuals.)

expense recognition principle (A principle, sometimes called the matching principle, that requires expenses to be recorded in the same period as the related revenue; a concept of accounting in which expenses are matched with the revenue generated during a period by those expenses.)

Expenses (Amounts used to generate revenue; assets used up or services consumed in the process of generating revenues.)

faithful representation (A characteristic of financial reports that pertains to information accurately reflecting an entity's economic activity or condition.)

fees earned (Revenue from providing services.)

financial accounting (The branch of accounting that is concerned with recording transactions using generally accepted accounting principles (GAAP) for a business or other economic unit and with a periodic preparation of various statements from such records.)

Financial Accounting Standards Board (FASB) (The authoritative body that has the primary responsibility for developing accounting principles.)

financial statements (Financial reports that summarize the effects of events on a business.)

financing activities (Activities by which a company obtains funds to start and operate the company.)

fiscal year (The annual accounting period adopted by a business.)

generally accepted accounting principles (GAAP) (Generally accepted guidelines for the preparation of financial statements.)

general-purpose financial statements (A type of financial accounting report that is distributed to external users. The term "general purpose" refers to the wide range of decision-making needs that the reports are designed to serve.)

going concern assumption (An assumption that requires that financial reports be prepared assuming that the entity will continue operating in the future.)

historical cost principle (A concept of accounting that states that an asset should be recorded and maintained in the accounting records at its initial transaction price.)

income statement (A summary of the revenue and expenses for a specific period of time, such as a month or a year.)

interest revenue (Earnings received for interest.)

International Accounting Standards Board (IASB) (An organization that issues International Financial Reporting Standards for many countries outside the United States.)

investing activities (Activities by which a company acquires long-term assets for use in the operating activities of the company.)

liabilities (The rights of creditors that represent debts of the business.)

limited liability company (LLC) (A business form consisting of one or more persons or entities filing an operating agreement with a state to conduct business with limited liability to the owners, yet treated as a partnership for tax purposes.)

managerial accounting (The branch of accounting that uses both historical and estimated data in providing information that management uses in conducting daily operations, in planning future operations, and in developing overall business strategies.)

Manufacturing businesses (A type of business that changes basic inputs into products that are sold to individual customers.)

measurement principle (A principle that requires that amounts be objective and verifiable.)

monetary unit assumption (An accounting assumption that requires that financial reports be expressed in a single monetary unit, or currency.)

natural business year (A fiscal year that ends when business activities have reached the lowest point in an annual operating cycle.)

net income (The amount by which revenues exceed expenses.)

net loss (The amount by which expenses exceed revenues.)

operating activities (Activities by which a company generates revenues from customers.)

owner's equity (The equity for a proprietorship, partnership, or a limited liability company.)

partnership (An unincorporated business form consisting of two or more persons conducting business as co-owners for profit.)

prepaid expenses (Assets created by making advanced payments for expense items, such as insurance premiums or supplies, that will be used in the business in the future.)

private accounting (The field of accounting whereby accountants are employed by a business firm or a not-for-profit organization.)

profit (The difference between the amounts received from customers for goods or services provided and the amounts paid for the inputs used to provide the goods or services.)

proprietorship (A business owned by one individual.)

public accounting (The field of accounting where accountants and their staff provide services on a fee basis.)

Public Company Accounting Oversight Board (PCAOB) (A new oversight body for the accounting profession that was established by the Sarbanes-Oxley Act.)

ratio of liabilities to stockholders' equity (A comprehensive leverage ratio that measures the relationship of the claims of creditors to stockholders' equity; a solvency ratio that measures how much of the company is financed by debt and equity, computed as total liabilities divided by total stockholders' equity.)

relevant (A characteristic of financial reports that pertains to information having the potential to impact decision making.)

rent revenue (Earnings from property that is leased to others for use.)

report form (A form of balance sheet with the "Liabilities" and "Stockholders' Equity" sections presented below the "Assets" section.)

Retail businesses (A type of business that purchases products from other businesses and sells them to customers.)

retained earnings (The stockholders' equity created from business operations through revenue and expense transactions; an account representing the net income retained in a corporation.)

retained earnings statement (A summary of the changes in the retained earnings in a corporation that have occurred during a specific period of time, such as a month or a year.)

Revenue (Increases in owner's equity as a result of providing services or selling goods to customers.)

revenue recognition principle (A concept of accounting that states that revenues are recorded when earned, which is when the services have been performed or products have been delivered to customers.)

sales (How revenue from the sale of merchandise is recorded; the total amount charged customers for merchandise sold, including cash sales and sales on account.)

Sarbanes-Oxley Act (SOX) (An act passed by Congress to restore public confidence and trust in the financial statements of companies.)

Securities and Exchange Commission (SEC) (An agency of the U.S. government that has authority over the accounting and financial disclosures for companies whose shares of ownership (stock) are traded and sold to the public.)

Service businesses (A business providing services rather than products to customers.)

Statement of cash flows (A summary of the cash receipts and cash payments for a specific period of time, such as a month or a year.)

Statement of stockholders' equity (A summary of the changes in the stockholders' equity in a corporation that have occurred during a specific period of time, such as a month or a year.)

stockholders' equity (The ownership rights of stockholders in a corporation; the stockholders' rights to the assets in a corporation.)

timeliness (A secondary characteristic of financial information that requires distribution of financial reports in time to influence a user's decision.)

time period assumption (An accounting assumption that allows a company to report its economic activities on a regular basis for a specific period of time.)

Understandability (A secondary characteristic of financial information that requires clear and concise financial reports that facilitate user interpretation and analysis.)

verifiability (A secondary characteristic of financial information that allows users to agree on the meaning of reported items.)

Chapter 1: Introduction to Accounting and Business: 1-6b Key Terms
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Chapter Review

1-6c Practice

Multiple-Choice Questions

1. A profit-making business operating as a separate legal entity and in which ownership is divided into shares of stock is known as a:
   a. proprietorship.
   b. service business.
   c. partnership.
   d. corporation.
2. The resources owned by a business are called:
   a. assets.
   b. liabilities.
   c. retained earnings.
   d. common stock.
3. A listing of a business entity's assets, liabilities, and stockholders' equity as of a specific date is a(n):
   a. balance sheet.
   b. income statement.
   c. statement of stockholders' equity.
   d. statement of cash flows.
4. If total assets increased $20,000 during a period and total liabilities increased

$12,000 during the same period, the amount and direction (increase or decrease) of the change in stockholders’ equity for that period is a(n):

a. $32,000 increase.

b. $32,000 decrease.

c. $8,000 increase.

d. $8,000 decrease.

5. If revenue was $45,000, expenses were $37,500, and dividends were $10,000, the amount of net income or net loss would be:

a. $45,000 net income.

b. $7,500 net income.

c. $37,500 net loss.

d. $2,500 net loss.

Chapter Review

1-6d Exercises

1.

Cost Principle

Obj. 2 - Describe generally accepted accounting principles, including the underlying assumptions and principles.

On February 22, Kountry Repair Service extended an offer of $200,000 for land that had been priced for sale at $250,000. On April 3, Kountry Repair accepted the seller's counteroffer of $230,000 and bought the land for this amount. On September 15, the land was assessed at a value of $185,000 for property tax purposes. On January 9 of the next year, Kountry Repair was offered $300,000 for the land by a national retail chain. At what value should the land be recorded in Kountry Repair Service's records?

2.

Accounting Equation

Obj. 3 - State the accounting equation and define each element of the equation.

Dream-It LLC is a motivational consulting business. At the end of its accounting period, December 31, 20Y2, Dream-It has assets of $780,000 and liabilities of $150,000. Using the accounting equation, determine the following amounts:

a. Stockholders' equity as of December 31, 20Y2.

b. Stockholders' equity as of December 31, 20Y3, assuming that assets increased by $90,000 and liabilities increased by $25,000 during 20Y3.

3.

Transactions

Obj. 4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation.

Arrowhead Delivery Service is owned and operated by Gates Deeter. The following selected transactions were completed by Arrowhead Delivery during August:

1. Received cash in exchange for common stock, $25,000.
2. Paid creditors on account, $3,750.
3. Billed customers for delivery services on account, $22,400.
4. Received cash from customers on account, $11,300.
5. Paid dividends, $6,000.

Indicate the effect of each transaction on the following accounting equation elements: Assets, Liabilities, Common Stock, Dividends, Revenue, and Expense. To illustrate, the answer to (1) follows:

(1) Asset (Cash) increases by $25,000; Common Stock increases by $25,000.

4.

Income Statement

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

The revenues and expenses of Ousel Travel Service for the year ended November 30, 20Y8, follow:

Fees earned	$1,475,000
Office expense	320,000

Miscellaneous expense	28,000
Wages expense	885,000

Prepare an income statement for the year ended November 30, 20Y8.

5.

Statement of Stockholders' Equity

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

Using the income statement for Ousel Travel Service from Exercise 4, prepare a statement of stockholders' equity for the year ended November 30, 20Y8. Shane Ousel invested an additional $50,000 in the business in exchange for common stock during the year and cash dividends of $30,000 were paid. As of December 1, 20Y7, common stock had a balance of $100,000 and retained earnings had a balance of $566,000.

6.

Balance Sheet

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

Using the following data for Ousel Travel Service as well as the statement of stockholders' equity from Exercise 5, prepare a balance sheet as of November 30, 20Y8:

Accounts payable	$ 62,500
Accounts receivable	186,000
Cash	308,000
Common stock	150,000

Land	480,000
Supplies	16,500

7.

Statement of Cash Flows

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

A summary of cash flows for Ousel Travel Service for the year ended November 30, 20Y8, follows:

Cash receipts:	
Cash received from customers	$1,465,000
Cash received from issuing common stock	50,000
Cash payments:	
Cash paid for operating expenses	1,230,000
Cash paid for land	150,000
Cash paid for dividends	30,000

The cash balance as of December 1, 20Y7, was $203,000.

Prepare a statement of cash flows for Ousel Travel Service for the year ended November 30, 20Y8.

8.

Ratio of Liabilities to Stockholders' Equity

Obj. 6 - Describe and illustrate the use of the ratio of liabilities to stockholders' equity in evaluating a company's financial condition.

The following data were taken from Mesa Company's balance sheet:

	Dec. 31, 20Y6	Dec. 31, 20Y5
Total liabilities	$547,800	$518,000
Total stockholders' equity	415,000	370,000

a. Compute the ratio of liabilities to stockholders' equity.

b. Has the creditor's risk increased or decreased from December 31, 20Y5, to December 31, 20Y6?

Chapter Review

1-6e Problem

Cecil Jameson, Attorney-at-Law, is organized as a corporation and operated by Cecil Jameson. On July 1, 20Y4, the company has the following assets, liabilities, and common stock: cash, $1,000; accounts receivable, $3,200; supplies, $850; land, $10,000; accounts payable, $1,530; common stock, $10,000. Office space and office equipment are currently being rented, pending the construction of an office complex on land purchased last year. Business transactions during July are summarized as follows:

a. Received cash from clients for services, $3,928.

b. Paid creditors on account, $1,055.

c. Received cash from Cecil Jameson as an additional investment in exchange for common stock, $3,700.

d. Paid office rent for the month, $1,200.

e. Charged clients for legal services on account, $2,025.

f. Purchased supplies on account, $245.

g. Received cash from clients on account, $3,000.

h. Received invoice for paralegal services from Legal Aid Inc. for July (to be paid on August 10), $1,635.

i. Paid the following: wages expense, $850; utilities expense, $325; answering service expense, $250; and miscellaneous expense, $75.

j. Determined that the cost of supplies on hand was $980; therefore, the cost of supplies used during the month was $115.

k. Paid dividends, $1,000.

Instructions

1. Determine the amount of retained earnings as of July 1, 20Y4.
2. State the assets, liabilities, and stockholders' equity as of July 1 in equation form similar to that shown in this chapter. In tabular form below the equation, indicate the increases and decreases resulting from each transaction and the new balances after each transaction.
3. Prepare an income statement for July, a statement of stockholders' equity for July, and a balance sheet as of July 31, 20Y4.
4. *Optional*. Prepare a statement of cash flows for July.

Chapter Review

1-6f Discussion Questions

1. Name some users of accounting information.
2. What is the role of accounting in business?
3. Why are most large companies like **Microsoft (MSFT)**, **PepsiCo (PEP)**, **Caterpillar (CAT)**, and **AutoZone (AZ0)** organized as corporations?
4. Josh Reilly is the owner of Dispatch Delivery Service. Recently, Josh paid interest of $4,500 on a personal loan of $75,000 that he used to begin the business. Should Dispatch Delivery Service record the interest payment? Explain.
5. On July 12, Reliable Repair Service extended an offer of $150,000 for land that had been priced for sale at $185,000. On September 3, Reliable Repair accepted the seller's counteroffer of $167,500. Describe how Reliable Repair Service should record the land.
6.
    a. Land with an assessed value of $750,000 for property tax purposes is acquired by a business for $900,000. Ten years later, the plot of land has an assessed value of $1,200,000 and the business receives an offer of $2,000,000 for it. Should the monetary amount assigned to the land in the business records now be increased?

    b. Assuming that the land acquired in (a) was sold for $2,125,000, how would the various elements of the accounting equation be affected?
7. Describe the difference between an account receivable and an account payable.
8. A business had revenues of $679,000 and operating expenses of $588,000. What was the amount of (a) net loss or (b) net income?
9. A business had revenues of $640,000 and operating expenses of $715,000.

What was the amount of (a) net loss or (b) net income?

10. The financial statements are interrelated. (a) What item of financial or operating data appears on both the income statement and the statement of stockholders' equity? (b) What item appears on both the balance sheet and the statement of stockholders' equity? (c) What item appears on both the balance sheet and the statement of cash flows?

Chapter Review

1-6g Basic Exercises

BE 1-1

Cost Principle

Obj. 2 - Describe generally accepted accounting principles, including the underlying assumptions and principles.

On June 25, Tin Roofing extended an offer of $300,000 for land that had been priced for sale at $375,000. On July 9, Tin Roofing accepted the seller’s counteroffer of $320,000. On October 1, the land was assessed at a value of $400,000 for property tax purposes. On December 22, Tin Roofing was offered $450,000 for the land by a national retail chain. At what value should the land be recorded in Tin Roofing’s records?

BE 1-2

Accounting Equation

Obj. 3 - State the accounting equation and define each element of the equation.

Inspiring U is a motivational consulting business. At the end of its accounting period, December 31, 20Y2, Inspiring U has assets of $690,000 and liabilities of $375,000. Using the accounting equation, determine the following amounts:

a. Stockholders’ equity as of December 31, 20Y2.

b. Stockholders’ equity as of December 31, 20Y3, assuming that assets increased by $80,000 and liabilities increased by $51,500 during 20Y3.

BE 1-3

Transactions

Obj. 4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation.

Speedy Delivery Service is owned and operated by Kris Meyers. The following selected transactions were completed by Speedy Delivery during March:

1. Received cash in exchange for common stock, $30,000.
2. Paid advertising expense, $3,500.
3. Purchased supplies on account, $2,500.
4. Billed customers for delivery services on account, $18,750.
5. Received cash from customers on account, $14,150.

Indicate the effect of each transaction on the following accounting equation elements: Assets, Liabilities, Common Stock, Dividends, Revenue, and Expense. To illustrate, the answer to (1) follows:

(1) Asset (Cash) increases by $30,000; Common Stock increases by $30,000.

BE 1-4

Income Statement

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

The revenues and expenses of A-One Travel Service for the year ended August 31, 20Y6, follow:

Fees earned	$1,150,000
Office expense	150,000
Miscellaneous expense	45,000
Wages expense	640,000

Prepare an income statement for the year ended August 31, 20Y6.

BE 1-5

Statement of Stockholders' Equity

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

Using the income statement for A-One Travel Service from Basic Exercise 1-4, prepare a statement of stockholders' equity for the year ended August 31, 20Y6. Kate Duffner invested an additional $15,000 in the business in exchange for common stock, and $50,000 of dividends were paid during the year. Common stock had a balance of $60,000 and retained earnings had a balance of $775,000 as of September 1, 20Y5.

BE 1-6

Balance Sheet

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

Using the following data for A-One Travel Service as well as the statement of stockholders' equity from Basic Exercise 1-5, prepare a balance sheet as of August 31, 20Y6:

Accounts payable	$ 35,000
Accounts receivable	68,000
Cash	184,500
Common stock	75,000
Land	880,000
Supplies	17,500

BE 1-7

Statement of Cash Flows

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

A summary of cash flows for A-One Travel Service for the year ended August 31, 20Y6, follows:

Cash receipts:	
Cash received from customers	$1,125,000
Cash received from issuing common stock	15,000
Cash payments:	
Cash paid for operating expenses	815,000
Cash paid for land	150,000
Cash paid as dividends	50,000

The cash balance as of September 1, 20Y5, was $59,500.

Prepare a statement of cash flows for A-One Travel Service for the year ended August 31, 20Y6.

BE 1-8

Ratio of Liabilities to Stockholders' Equity

Obj. 6 - Describe and illustrate the use of the ratio of liabilities to stockholders' equity in evaluating a company's financial condition.

The following data were taken from Alvarado Company's balance sheet:

	Dec. 31, 20Y4	**Dec. 31, 20Y3**
Total liabilities	$4,085,000	$2,880,000

Total stockholders' equity	4,300,000	3,600,000

a. Compute the ratio of liabilities to stockholders' equity for each year.

b. Has the creditor's risk increased or decreased from December 31, 20Y3, to December 31, 20Y4?

Chapter Review

1-6h Exercises

EX 1-1

Types of Businesses

Obj. 1 - Describe the nature of business and the role of accounting and ethics in business.

The following is a list of well-known companies:

1. **Alcoa Inc. (AA)**
2. **Boeing (BA)**
3. **Caterpillar (CAT)**
4. **Citigroup Inc. (C)**
5. **CVS (CVS)**
6. **Dow Chemical Company (DOW)**
7. **eBay Inc. (EBAY)**
8. **FedEx (FDX)**
9. **Ford Motor Company (F)**
10. **Gap Inc. (GAP)**
11. **H&R Block (HRB)**
12. **Hilton Hospitality, Inc. (HLT)**
13. **Procter & Gamble (PG)**
14. **SunTrust (STI)**

15. **Walmart Inc. (WMT)**

a. Indicate whether each of these companies is primarily a service, retail, or manufacturing business. If you are unfamiliar with the company, use the Internet to locate the company's home page or use the finance website of **Yahoo** (finance.yahoo.com).

b. For which of the preceding companies is the accounting equation relevant?

EX 1-2

Professional Ethics

Obj. 1 - Describe the nature of business and the role of accounting and ethics in business.

A fertilizer manufacturing company wants to relocate to Yellowstone County. A report from a fired researcher at the company indicates the company's product is releasing toxic by-products. The company suppressed that report. A later report commissioned by the company shows there is no problem with the fertilizer.

Should the company's chief executive officer reveal the content of the unfavorable report in discussions with Yellowstone County representatives? Discuss.

EX 1-3

Business Entity Assumption

Obj. 2 - Describe generally accepted accounting principles, including the underlying assumptions and principles.

Ozark Sports sells hunting and fishing equipment and provides guided hunting and fishing trips. Ozark is owned and operated by Eric Griffith, a well-known sports enthusiast and hunter. Eric's wife, Linda, owns and operates Lake Boutique, a women's clothing store. Eric and Linda have established a trust fund to finance their children's college education. The trust fund is maintained by Missouri State Bank in the name of the children, Mark and Steffy.

a. For each of the following transactions, identify which of the entities listed should record the transaction in its records:

Entities

L	Lake Boutique
M	Missouri State Bank
O	Ozark Sports
X	None of the above

1. Linda authorized the trust fund to purchase mutual fund shares.
2. Linda purchased two dozen spring dresses from a St. Louis designer for a special spring sale.
3. Eric paid a breeder's fee for an English springer spaniel to be used as a hunting guide dog.
4. Linda deposited a $2,000 personal check in the trust fund at Missouri State Bank.
5. Eric paid a local doctor for his annual physical, which was required by the workers' compensation insurance policy carried by Ozark Sports.
6. Eric received a cash advance from customers for a guided hunting trip.
7. Linda paid her dues to the YWCA.
8. Linda donated several dresses from inventory for a local charity auction for the benefit of a women's abuse shelter.
9. Eric paid for dinner and a movie to celebrate their twelfth wedding anniversary.
10. Eric paid for an advertisement in a hunters' magazine.

b. What is a business transaction?

EX 1-4

Accounting Equation

Obj. 3 - State the accounting equation and define each element of the equation.

The total assets and total liabilities (in millions) of **The Kroger Company (KR)** and **The Procter & Gamble Company (PG)** follow:

	Kroger	Procter & Gamble
Assets	$38,118	$115,095
Liabilities	30,283	67,516

Determine the stockholders' equity of each company.

EX 1-5

Accounting Equation

Obj. 3 - State the accounting equation and define each element of the equation.

The total assets and total liabilities (in millions) of **Dollar Tree Inc. (DLTR)** and **Target Corporation (TGT)** follow:

	Dollar Tree	Target
Assets	$13,501	$41,290
Liabilities	7,858	29,993

Determine the stockholders' equity of each company.

EX 1-6

Accounting Equation

Obj. 3 - State the accounting equation and define each element of the equation.

Determine the missing amount for each of the following:

	Assets	=	Liabilities	+	Stockholders' Equity
a.	X	=	$1,200,000	+	$875,000
b.	$3,860,000	=	X	+	$900,000
c.	$71,850,000	=	$59,100,000	+	X

EX 1-7

Accounting Equation

Obj. 3 - State the accounting equation and define each element of the equation., 4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation.

Captivating Inc. is a motivational consulting business. At the end of its accounting period, May 31, 20Y2, Captivating Inc. has assets of $2,450,000 and liabilities of $1,180,000. Using the accounting equation and considering each case independently, determine the following amounts:

a. Stockholders' equity as of May 31, 20Y2.

b. Stockholders' equity as of May 31, 20Y3, assuming that assets increased by $825,000 and liabilities increased by $515,000 during 20Y3.

c. Stockholders' equity as of May 31, 20Y3, assuming that assets decreased by $375,000 and liabilities increased by $60,000 during 20Y3.

d. Stockholders' equity as of May 31, 20Y3, assuming that assets increased by $725,000 and liabilities decreased by $120,000 during 20Y3.

e. Net income (or net loss) during 20Y3, assuming that as of May 31, 20Y3, assets were $3,300,000, liabilities were $1,400,000, and no additional common stock was issued or dividends paid.

EX 1-8

Asset, Liability, and Stockholders' Equity Items

Obj. 3 - State the accounting equation and define each element of the equation.

Indicate whether each of the following is identified with (1) an asset, (2) a liability, or (3) stockholders' equity:

a. accounts payable

b. accounts receivable

c. fees earned

d. supplies

e. supplies expense

f. utilities expense

EX 1-9

Effect of Transactions on Accounting Equation

Obj. 4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation.

What is the effect of each of the following transactions on the three elements (assets, liabilities, and stockholders' equity) of the accounting equation?

a. Invested cash in business in exchange for common stock.

b. Paid for business expenses.

c. Paid dividends.

d. Purchased supplies on account.

e. Received cash for services performed.

EX 1-10

Effect of Transactions on Accounting Equation

Obj. 4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation.

a. A vacant lot acquired for $115,000 is sold for $298,000 in cash. What is the effect of the sale on the total amount of the seller's (1) assets, (2) liabilities, and (3) stockholders' equity?

b. Assume that the seller owes $80,000 on a loan for the land. After receiving the $298,000 cash in (a), the seller pays the $80,000 owed. What is the effect of the payment on the total amount of the seller's (1) assets, (2) liabilities, and (3) stockholders' equity?

c. Is it true that a transaction always affects at least two elements (Assets, Liabilities, or Stockholders' Equity) of the accounting equation? Explain.

EX 1-11

Effect of Transactions on Stockholders' Equity

Obj. 4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation.

Indicate whether each of the following types of transactions will either (a) increase stockholders' equity or (b) decrease stockholders' equity:

1. Issued common stock in exchange for cash.
2. Received cash for services performed for customers.
3. Paid business expenses.
4. Paid dividends.

EX 1-12

Transactions

Obj. 4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation.

The following selected transactions were completed by Cota Delivery Service during July:

1. Received cash in exchange for common stock, $50,000.
2. Purchased supplies for cash, $1,800.
3. Paid rent for July, $4,500.
4. Paid advertising expense, $1,200.
5. Received cash for providing delivery services, $11,500.
6. Billed customers for delivery services on account, $33,970.
7. Paid creditors on account, $900.
8. Received cash from customers on account, $27,500.
9. Determined that the cost of supplies on hand was $300 and $1,500 of supplies had been used during the month.
10. Paid cash dividends, $1,000.

Indicate the effect of each transaction on the accounting equation by listing the numbers identifying the transactions, (1) through (10), in a column, and inserting at the right of each number the appropriate letter from the following list:

a. Increase in an asset, decrease in another asset.
b. Increase in an asset, increase in a liability.
c. Increase in an asset, increase in stockholders' equity.
d. Decrease in an asset, decrease in a liability.
e. Decrease in an asset, decrease in stockholders' equity.

EX 1-13

Nature of Transactions

Obj. 4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation.

Teri West operates her own catering service. Summary financial data for July are presented in equation form as follows. Each line designated by a number indicates the effect of a transaction on the equation. Each increase and decrease in stockholders' equity, except transaction (5), affects net income.

	Assets			= Liabilities +	Stockholders' Equity				
	Cash +	Supplies +	Land =	Accounts Payable +	Common Stock +	Retained Earnings −	Dividends +	Fees Earned −	Expenses
Bal.	40,000	3,000	82,000	7,500	50,000	67,500			
1.	+71,800							+71,800	
2.	−15,000		+15,000						
3.	−47,500								−47,500
4.		+1,100		+1,100					
5.	−5,000						−5,000		
6.	−4,000			−4,000					
7.		−1,500							−1,500
Bal.	40,300	2,600	97,000	4,600	50,000	67,500	−5,000	71,800	−49,000

a. Describe each transaction.

b. What is the amount of the net increase in cash during the month?

c. What is the amount of the net increase in stockholders' equity during the month?

d. What is the amount of the net income for the month?

e. How much of the net income for the month was retained in the business?

EX 1-14

Net Income and Dividends

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

The income statement for the month of February indicates a net income of $17,500. During the same period, $25,500 in cash dividends were paid.

Would it be correct to say that the business incurred a net loss of $8,000 during the month? Discuss.

EX 1-15

Net Income and Stockholders' Equity for Four Businesses

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

Four different corporations, Amber, Blue, Coral, and Daffodil, show the same balance sheet data at the beginning and end of a year. These data, exclusive of the amount of stockholders' equity, are summarized as follows:

	Total Assets	**Total Liabilities**
Beginning of the year	$1,220,000	$ 990,000
End of the year	1,730,000	1,150,000

On the basis of the preceding data and the following additional information for the year, determine the net income (or loss) of each company for the year. (*Hint*: First, determine the amount of increase or decrease in stockholders' equity during the year.)

Amber:	No additional common stock was issued and no dividends were paid.
Blue:	No additional common stock was issued, but dividends of $60,000 were paid.
Coral:	Additional common stock of $140,000 was issued, but no dividends were paid.
Daffodil:	Additional common stock of $140,000 was issued and dividends of $60,000 were paid.

EX 1-16

Balance Sheet Items

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

From the following list of selected items taken from the records of Bobcat Appliance Service as of a specific date, identify those that would appear on the balance sheet:

1. Accounts Payable
2. Cash
3. Common Stock
4. Fees Earned
5. Land
6. Rent Expense
7. Retained Earnings
8. Supplies
9. Supplies Expense
10. Wages Payable

EX 1-17

Income Statement Items

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

Based on the data presented in Exercise 1-16, identify those items that would appear on the income statement.

EX 1-18

Statement of Stockholders' Equity

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

Financial information related to Organic Products Company for the month ended June 30, 20Y9, is as follows:

Net income for June	$ 115,000

Dividends paid in June	25,000
Common stock, June 1, 20Y9	180,000
Common stock issued in June	50,000
Retained earnings, June 1, 20Y9	1,630,000

a. Prepare a statement of stockholders' equity for the month ended June 30, 20Y9.

b. Why is the statement of stockholders' equity prepared before the June 30, 20Y9, balance sheet?

EX 1-19

Income Statement

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

Imaging Services was organized on March 1, 20Y5. A summary of the revenue and expense transactions for March follows:

Fees earned	$482,000
Wages expense	300,000
Rent expense	41,500
Supplies expense	3,600
Miscellaneous expense	1,900

Prepare an income statement for the month ended March 31.

EX 1-20

Missing Amounts from Balance Sheet and Income Statement Data

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

One item is omitted in each of the following summaries of balance sheet and income statement data for the following four different corporations:

	Freeman	Heyward	Jones	Ramirez
Beginning of the year:				
Assets	$ 900,000	$490,000	$115,000	(d)
Liabilities	360,000	260,000	81,000	$120,000
End of the year:				
Assets	1,260,000	675,000	100,000	270,000
Liabilities	330,000	220,000	80,000	136,000
During the year:				
Additional common stock issued	(a)	150,000	10,000	55,000
Dividends	75,000	32,000	(c)	39,000
Revenue	570,000	(b)	115,000	115,000
Expenses	240,000	128,000	122,500	128,000

Determine the missing amounts, identifying them by letter. (*Hint:* First determine the amount of increase or decrease in stockholders' equity during the year.)

EX 1-21

Balance Sheets, Net Income

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

Financial information related to Ebony Interiors for February and March 20Y3 is as follows:

	February 28, 20Y3	March 31, 20Y3
Cash	$320,000	$380,000
Accounts receivable	800,000	960,000
Supplies	30,000	35,000
Accounts payable	310,000	400,000
Common stock	200,000	200,000
Retained earnings	?	?

a. Prepare balance sheets for Ebony Interiors as of February 28 and March 31, 20Y3.

b. Determine the amount of net income for March, assuming that no additional common stock was issued and no dividends were paid during the month.

c. Determine the amount of net income for March, assuming that no additional common stock was issued, but dividends of $50,000 were paid during the month.

EX 1-22

Financial Statements

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

Each of the following items is shown on the financial statements of **Exxon Mobil Corporation (XOM)**:

1. Accounts payable
2. Cash equivalents
3. Crude oil inventory
4. Equipment

5. Exploration expenses
6. Income taxes payable
7. Investments
8. Long-term debt
9. Marketable securities
10. Notes and loans payable
11. Notes receivable
12. Operating expenses
13. Prepaid taxes
14. Sales
15. Selling expenses

a. Identify the financial statement (balance sheet or income statement) in which each item would appear.

b. Can an item appear on more than one financial statement?

c. Is the accounting equation relevant for Exxon Mobil Corporation? Explain.

EX 1-23

Statement of Cash Flows

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

Indicate whether each of the following activities would be reported on the statement of cash flows as (a) an operating activity, (b) an investing activity, or (c) a financing activity:

1. Cash received by issuing common stock.
2. Cash received for fees earned from customers.
3. Cash paid for land and building.

4. Cash paid for dividends.

EX 1-24

Statement of Cash Flows

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

A summary of cash flows for Parker Consulting Group for the year ended January 31, 20Y4, follows:

Cash receipts:	
Cash received from customers	$1,200,000
Cash received from issuing common stock	90,000
Cash payments:	
Cash paid for operating expenses	800,000
Cash paid for land	300,000
Cash paid for dividends	36,000

The cash balance as of February 1, 20Y3, was $66,000.

Prepare a statement of cash flows for Parker Consulting Group for the year ended January 31, 20Y4.

EX 1-25

Financial Statements

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

We-Sell Realty was organized as a corporation on August 1, 20Y7, by the issuance of common stock of $15,000. We-Sell Realty is owned and operated by Omar Farah, the sole stockholder. The following statements for We-Sell Realty were prepared after its first month of operations:

We-Sell Realty
Income Statement
August 31, 20Y7

Sales commissions		$140,000
Expenses:		
Office salaries expense	$87,000	
Rent expense	18,000	
Automobile expense	7,500	
Miscellaneous expense	2,200	
Supplies expense	1,150	
Total expenses		(115,850)
Net income		$ 25,000

Omar Farah
Statement of Stockholders' Equity
For the Year Ended August 31, 20Y6

	Retained Earnings	Total
Balances, August 1, 20Y7	$ 0	$ 0
Net income	25,000	25,000
Dividends	(10,000)	(10,000)
Balances, August 31, 20Y7	$ 15,000	$ 15,000

Balance Sheet
For the Month Ended August 31, 20Y7

Assets	
Cash	$ 8,900
Accounts payable	22,350
Total assets	$31,250
Liabilities	
Accounts receivable	$38,600
Supplies	4,000
Stockholders' Equity	
Retained earnings	30,000
Total liabilities and stockholders' equity	$72,600

a. Identify the errors contained within the presented financial statements for We-Sell Realty.

b. Prepare a corrected set of financial statements for We-Sell Realty.

Chapter Review

1-6i Problems: Series A

PR 1-1A

Transactions

Obj. 4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation.

On June 1 of the current year, Chris Bates established a business to manage rental property. The following transactions were completed during June:

a. Opened a business bank account with a deposit of $75,000 in exchange for common stock.
b. Purchased office supplies on account, $2,200.
c. Received cash from fees earned for managing rental property, $19,500.
d. Paid rent on office and equipment for the month, $8,000.
e. Paid creditors on account, $1,850.
f. Billed customers for fees earned for managing rental property, $6,000.
g. Paid automobile expenses for month, $1,500, and miscellaneous expenses, $800.
h. Paid office salaries, $5,500.
i. Determined that the cost of supplies on hand was $550; therefore, the cost of supplies used was $1,650.
j. Paid dividends, $4,000.

Instructions

1. Indicate the effect of each transaction and the balances after each

transaction, using the following tabular headings:

Assets			= Liabilities +	Stockholders' Equity							
Cash +	Accounts Receivable +	Supplies =	Accounts Payable +	Common Stock −	Dividends +	Fees Earned −	Rent Expense −	Salaries Expense −	Supplies Expense −	Auto Expense −	Misc. Expense

2. Briefly explain why issuing common stock and revenues increased stockholders' equity, while dividends and expenses decreased stockholders' equity.

3. Determine the net income for June.

4. How much did June's transactions increase or decrease stockholders' equity?

PR 1-2A

Financial Statements

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

The assets and liabilities of Adventure Travel Agency on December 31, 20Y5, and its revenue and expenses for the year are as follows:

Accounts payable	$ 52,000	Miscellaneous expense	$ 22,100
Accounts receivable	310,400	Rent expense	75,000
Cash	198,600	Supplies	6,000
Common stock	325,000	Supplies expense	15,300
Fees earned	1,400,000	Utilities expense	40,000
Land	1,350,000	Wages expense	870,000

Common stock was $250,000 and retained earnings was $1,160,400 as of January 1, 20Y5. During the year, additional common stock of $75,000 was issued for cash, and dividends of $50,000 were paid.

Instructions

1. Prepare an income statement for the year ended December 31, 20Y5.

2. Prepare a statement of stockholders’ equity for the year ended December 31, 20Y5.
3. Prepare a balance sheet as of December 31, 20Y5.
4. What items appear on both the statement of stockholders’ equity and the balance sheet?

PR 1-3A

Financial Statements

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

Seth Feye established Reliance Financial Services on July 1, 20Y2. Reliance Financial Services offers financial planning advice to its clients. The effect of each transaction and the balances after each transaction for July follow:

	Assets			= Liabilities +	Stockholders' Equity							
	Cash	+ Accounts Receivable	+ Supplies =	Accounts Payable	+ Common Stock	− Dividends	+ Fees Earned	− Salaries Expense	− Rent Expense	− Auto Expense	− Supplies Expense	− Misc. Expense
a.	+50,000				+50,000							
b.			+7,000	+7,000								
Bal.	50,000		7,000	7,000	50,000							
c.	−3,600			−3,600								
Bal.	46,400		7,000	3,400	50,000							
d.	+110,000						+110,000					
Bal.	156,400		7,000	3,400	50,000		110,000					
e.	−33,000								−33,000			
Bal.	123,400		7,000	3,400	50,000		110,000		−33,000			
f.	−20,800									−16,000		−4,800
Bal.	102,600		7,000	3,400	50,000		110,000		−33,000	−16,000		−4,800
g.	−55,000							−55,000				
Bal.	47,600		7,000	3,400	50,000		110,000	−55,000	−33,000	−16,000		−4,800
h.			−4,500								−4,500	
Bal.	47,600		2,500	3,400	50,000		110,000	−55,000	−33,000	−16,000	−4,500	−4,800
i.		+34,500					+ 34,500					
Bal.	47,600	34,500	2,500	3,400	50,000		144,500	−55,000	−33,000	−16,000	−4,500	−4,800
j.	−15,000					−15,000						
Bal.	32,600	34,500	2,500	3,400	50,000	−15,000	144,500	−55,000	−33,000	−16,000	−4,500	−4,800

Instructions

1. Prepare an income statement for the month ended July 31, 20Y2.
2. Prepare a statement of stockholders' equity for the month ended July 31, 20Y2.
3. Prepare a balance sheet as of July 31, 20Y2.
4. *Optional*. Prepare a statement of cash flows for the month ending July 31, 20Y2.

PR 1-4A

Transactions; Financial Statements

Obj. 4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation., 5 -

Describe the financial statements of a corporation and explain how they interrelate.

On August 1, 20Y9, Brooke Kline established Western Realty. Brooke completed the following transactions during the month of August:

a. Opened a business bank account with a deposit of $35,000 in exchange for common stock.

b. Purchased supplies on account, $2,750.

c. Paid creditor on account, $1,800.

d. Earned sales commissions, receiving cash, $52,800.

e. Paid rent on office and equipment for the month, $4,500.

f. Paid dividends, $3,000.

g. Paid automobile expenses for month, $1,100, and miscellaneous expenses, $1,200.

h. Paid office salaries, $5,250.

i. Determined that the cost of supplies on hand was $1,750; therefore, the cost of supplies used was $1,000.

Instructions

1. Indicate the effect of each transaction and the balances after each transaction, using the following tabular headings:

Assets		= Liabilities +	Stockholders' Equity							
		Accounts	Common		Sales	Salaries	Rent	Auto	Supplies	Misc.
Cash +	Supplies =	Payable +	Stock	− Dividends +	Commissions −	Expense −	Expense −	Expense −	Expense −	Expense

2. Prepare an income statement for August, a statement of stockholders' equity for August, and a balance sheet as of August 31.

PR 1-5A

Transactions; Financial Statements

Obj. 4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation., 5 -

Describe the financial statements of a corporation and explain how they interrelate.

D'Lite Dry Cleaners is owned and operated by Joel Palk. A building and equipment are currently being rented, pending expansion to new facilities. The actual work of dry cleaning is done by another company at wholesale rates. The assets, liabilities, and common stock of the business on July 1, 20Y4, are as follows: Cash, $45,000; Accounts Receivable, $93,000; Supplies, $7,000; Land, $75,000; Accounts Payable, $40,000; Common Stock, $60,000. Business transactions during July are summarized as follows:

a. Joel Palk invested additional cash in exchange for common stock with a deposit of $35,000 in the business bank account.

b. Paid $50,000 for the purchase of land adjacent to land currently owned by D'Lite Dry Cleaners as a future building site.

c. Received cash from customers for dry cleaning revenue, $32,125.

d. Paid rent for the month, $6,000.

e. Purchased supplies on account, $2,500.

f. Paid creditors on account, $22,800.

g. Charged customers for dry cleaning revenue on account, $84,750.

h. Received monthly invoice for dry cleaning expense for July (to be paid on August 10), $29,500.

i. Paid the following: wages expense, $7,500; truck expense, $2,500; utilities expense, $1,300; miscellaneous expense, $2,700.

j. Received cash from customers on account, $88,000.

k. Determined that the cost of supplies on hand was $5,900; therefore, the cost of supplies used during the month was $3,600.

l. Paid dividends, $12,000.

Instructions

1. Determine the amount of retained earnings as of July 1, 20Y4.

2. State the assets, liabilities, and stockholders' equity as of July 1 in equation form similar to that shown in this chapter. In tabular form below the

equation, indicate increases and decreases resulting from each transaction and the new balances after each transaction.

3. Prepare an income statement for July, a statement of stockholders' equity for July, and a balance sheet as of July 31.

4. *Optional*. Prepare a statement of cash flows for July.

PR 1-6A

Missing Amounts from Financial Statements

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

The financial statements at the end of Wolverine Realty's first month of operations are as follows:

Wolverine Realty
Income Statement
For the Month Ended April 30, 20Y0

Fees earned		$ (a)
Expenses:		
Wages expense	$300,000	
Rent expense	100,000	
Supplies expense	(b)	
Utilities expense	20,000	
Miscellaneous expense	25,000	
Total expenses		(475,000)
Net income		$ 275,000

Wolverine Realty
Statement of Stockholders' Equity
For the Month Ended April 30, 20Y0

	Common Stock	Retained Earnings	Total
Balances, April 1, 20Y0	$ 0	$ 0	$ 0
Issued common stock	(c)		(c)
Net income		(d)	(d)
Dividends		(125,000)	(125,000)
Balances, April 30, 20Y0	$ (c)	$ (e)	$ (f)

Wolverine Realty
Balance Sheet
April 30, 20Y0

Assets		
Cash		$462,500
Supplies		12,500
Land		150,000
Total assets		$ (g)
Liabilities		
Accounts payable		$ 100,000
Stockholders' Equity		
Common stock	$375,000	
Retained earnings	(h)	
Total stockholders' equity		(i)

Total liabilities and stockholders' equity		$ (j)

Wolverine Realty
Statement of Cash Flows
For the Month Ended April 30, 20Y0

Cash flows from (used for) operating activities:		
Cash received from customers	$ (k)	
Cash paid for expenses and to creditors	(387,500)	
Net cash flows from operating activities		$ (l)
Cash flows from (used for) investing activities:		
Cash paid for land		(m)
Cash flows from (used for) financing activities:		
Cash received from issuing common stock	$ (n)	
Cash paid for dividends	(o)	
Net cash flows from financing activities		(p)
Net increase (decrease) in cash		$ (q)
Cash balance, April 1, 20Y0		0
Cash balance, April 30, 20Y0		$ (r)

Instructions

By analyzing the interrelationships among the four financial statements, determine the proper amounts for (a) through (r).

Chapter Review

1-6j Problems: Series B

PR 1-1B

Transactions

Obj. 4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation.

Amy Austin established an insurance agency on March 1 of the current year and completed the following transactions during March:

a. Opened a business bank account with a deposit of $50,000 in exchange for common stock.
b. Purchased supplies on account, $4,000.
c. Paid creditors on account, $2,300.
d. Received cash from fees earned on insurance commissions, $13,800.
e. Paid rent on office and equipment for the month, $5,000.
f. Paid automobile expenses for month, $1,150, and miscellaneous expenses, $300.
g. Paid office salaries, $2,500.
h. Determined that the cost of supplies on hand was $2,700; therefore, the cost of supplies used was $1,300.
i. Billed insurance companies for sales commissions earned, $12,500.
j. Paid dividends, $3,900.

Instructions

1. Indicate the effect of each transaction and the balances after each

transaction, using the following tabular headings:

2. Briefly explain why issuing common stock and revenues increased stockholders' equity, while dividends and expenses decreased stockholders' equity.
3. Determine the net income for March.
4. How much did March's transactions increase or decrease stockholders' equity?

PR 1-2B

Financial Statements

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

The assets and liabilities of Wilderness Travel Service on April 30, 20Y7, and its revenue and expenses for the year are as follows:

Accounts payable	$ 25,000	Rent expense	$ 75,000
Accounts receivable	210,000	Supplies	9,000
Cash	156,000	Supplies expense	12,000
Common stock	35,000	Taxes expense	10,000
Fees earned	875,000	Utilities expense	38,000
Miscellaneous expense	15,000	Wages expense	525,000

Common stock was $25,000 and retained earnings was $155,000 as of May 1, 20Y6. During the year, additional common stock of $10,000 was issued for cash, and dividends of $40,000 were paid.

Instructions

1. Prepare an income statement for the year ended April 30, 20Y7.
2. Prepare a statement of stockholders' equity for the year ended April 30, 20Y7.
3. Prepare a balance sheet as of April 30, 20Y7.
4. What item appears on both the income statement and statement of stockholders' equity?

PR 1-3B

Financial Statements

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

Jose Loder established Bronco Consulting on August 1, 20Y1. The effect of each transaction and the balances after each transaction for August follow:

Instructions

1. Prepare an income statement for the month ended August 31, 20Y1.
2. Prepare a statement of stockholders' equity for the month ended August 31, 20Y1.
3. Prepare a balance sheet as of August 31, 20Y1.
4. *Optional*. Prepare a statement of cash flows for the month ending August 31, 20Y1.

PR 1-4B

Transactions; Financial Statements

Obj. 4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation., 5 - Describe the financial statements of a corporation and explain how they interrelate.

On April 1, 20Y8, Maria Adams established Custom Realty. Maria completed the following transactions during the month of April:

a. Opened a business bank account with a deposit of $24,000 in exchange for common stock.
b. Paid rent on office and equipment for the month, $3,600.
c. Paid automobile expenses for month, $1,350, and miscellaneous expenses, $600.
d. Purchased supplies on account, $1,200.
e. Earned sales commissions, receiving cash, $19,800.
f. Paid creditor on account, $750.
g. Paid office salaries, $2,500.
h. Paid dividends, $3,500.
i. Determined that the cost of supplies on hand was $300; therefore, the cost of supplies used was $900.

Instructions

1. Indicate the effect of each transaction and the balances after each transaction, using the following tabular headings:

2. Prepare an income statement for April, a statement of stockholders' equity for April, and a balance sheet as of April 30.

PR 1-5B

Transactions; Financial Statements

Obj. 4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation., 5 - Describe the financial statements of a corporation and explain how they interrelate.

Bev's Dry Cleaners is owned and operated by Beverly Zahn. A building and equipment are currently being rented, pending expansion to new facilities. The actual work of dry cleaning is done by another company at wholesale rates. The assets, liabilities, and common stock of the business on November 1, 20Y3, are as follows: Cash, $39,000; Accounts Receivable, $80,000; Supplies, $11,000; Land, $50,000; Accounts Payable, $31,500; Common Stock, $50,000. Business transactions during November are summarized as follows:

a. Beverly Zahn invested additional cash in exchange for common stock with a deposit of $21,000 in the business bank account.

b. Purchased land adjacent to land currently owned by Bev's Dry Cleaners to use in the future as a parking lot, paying cash of $35,000.

c. Paid rent for the month, $4,000.

d. Charged customers for dry cleaning revenue on account, $72,000.

e. Paid creditors on account, $20,000.

f. Purchased supplies on account, $8,000.

g. Received cash from customers for dry cleaning revenue, $38,000.

h. Received cash from customers on account, $77,000.

i. Received monthly invoice for dry cleaning expense for November (to be paid on December 10), $29,450.

j. Paid the following: wages expense, $24,000; truck expense, $2,100; utilities expense, $1,800; miscellaneous expense, $1,300.

k. Determined that the cost of supplies on hand was $11,800; therefore, the cost of supplies used during the month was $7,200.

l. Paid dividends, $5,000.

Instructions

1. Determine the amount of retained earnings as of November 1.
2. State the assets, liabilities, and stockholders’ equity as of November 1 in equation form similar to that shown in this chapter. In tabular form below the equation, indicate increases and decreases resulting from each transaction and the new balances after each transaction.
3. Prepare an income statement for November, a statement of stockholders’ equity for November, and a balance sheet as of November 30.
4. *Optional*. Prepare a statement of cash flows for November.

PR 1-6B

Missing Amounts from Financial Statements

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

The financial statements at the end of Atlas Realty’s first month of operations follow:

Instructions

By analyzing the interrelationships among the four financial statements, determine the proper amounts for (a) through (r).

Chapter Review

1-6k Continuing Problem

Peyton Smith enjoys listening to all types of music and owns countless CDs. Over the years, Peyton has gained a local reputation for knowledge of music from classical to rap and the ability to put together sets of recordings that appeal to all ages.

During the last several months, Peyton served as a guest disc jockey on a local radio station. In addition, Peyton has entertained at several friends' parties as the host deejay.

On June 1, 20Y5, Peyton established a corporation known as PS Music. Using an extensive collection of music MP3 files, Peyton will serve as a disc jockey on a fee basis for weddings, college parties, and other events. During June, Peyton entered into the following transactions:

June

1. Deposited $4,000 in a checking account in the name of PS Music in exchange for common stock.
2. Received $3,500 from a local radio station for serving as the guest disc jockey for June.
2. Agreed to share office space with a local real estate agency, Pinnacle Realty. PS Music will pay one-fourth of the rent. In addition, PS Music agreed to pay a portion of the wages of the receptionist and to pay one-fourth of the utilities. Paid $800 for the rent of the office.
4. Purchased supplies from City Office Supply Co. for $350. Agreed to pay $100 within 10 days and the remainder by July 5, 20Y5.
6. Paid $500 to a local radio station to advertise the services of PS Music twice daily for two weeks.
8. Paid $675 to a local electronics store for renting digital recording equipment.

12. Paid $350 (music expense) to Cool Music for the use of its current music demos to make various music sets.
13. Paid City Office Supply Co. $100 on account.
16. Received $300 from a dentist for providing two music sets for the dentist to play for her patients.
22. Served as disc jockey for a wedding party. The father of the bride agreed to pay $1,000 in July.
25. Received $500 for serving as the disc jockey for a cancer charity ball hosted by the local hospital.
29. Paid $240 (music expense) to Galaxy Music for the use of its library of music demos.
30. Received $900 for serving as PS disc jockey for a local club’s monthly dance.
30. Paid Pinnacle Realty $400 for PS Music’s share of the receptionist’s wages for June.
30. Paid Pinnacle Realty $300 for PS Music’s share of the utilities for June.
30. Determined that the cost of supplies on hand is $170. Therefore, the cost of supplies used during the month was $180.
30. Paid for miscellaneous expenses, $415.
30. Paid $1,000 royalties (music expense) to National Music Clearing for use of various artists’ music during the month.
30. Paid dividends, $500.

Instructions

1. Indicate the effect of each transaction and the balances after each transaction, using the following tabular headings:

Assets			= Liabilities +	Stockholders’ Equity										
Cash +	Accts. Rec. +	Supplies =	Accounts Payable +	Common Stock	− Dividends +	Fees Earned −	Music Exp. −	Office Rent Exp. −	Equipment Rent Exp. −	Advertising Exp. −	Wages Exp. −	Utilities Exp. −	Supplies Exp. −	Misc. Exp.

2. Prepare an income statement for PS Music for the month ended June 30, 20Y5.
3. Prepare a statement of stockholders’ equity for PS Music for the month ended June 30, 20Y5.

4. Prepare a balance sheet for PS Music as of June 30, 20Y5.

Chapter 1: Introduction to Accounting and Business: 1-6k Continuing Problem
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Printed By: Raydel Castro Guerra (raydel.castro001@mymdc.net)

Chapter Review

1-6l Make a Decision Ratio of Liabilities to Stockholders’ Equity

MAD 1-1

Compare Amazon.com to Best Buy

Obj. 6 - Describe and illustrate the use of the ratio of liabilities to stockholders' equity in evaluating a company's financial condition.

Amazon.com**, Inc. (AMZN)** is one of the largest Internet retailers in the world. We will use Amazon as a continuing company exercise to reinforce the various tools and techniques for analyzing financial statements. We will begin with the ratio of liabilities to stockholders' equity.

Ratios can be used to compare companies in the same industry. For Amazon, there are a number of competitors that sell media, electronic, and other merchandise. **Best Buy, Inc. (BBY)** is one such company. The following total liabilities and stockholders' equity information (in millions) is provided for Amazon and Best Buy for the end of a recent year:

	Amazon	**Best Buy**
Total assets	$162,648	$12,901
Total liabilities	119,099	9,595
Total stockholders' equity	43,549	3,306

a. Compute the ratio of liabilities to stockholders' equity for each company. Round to two decimal places.

b. What conclusions regarding the margin of protection to creditors can you draw for these two companies?

MAD 1-2

Analyze Target for Three Years

Obj. 6 - Describe and illustrate the use of the ratio of liabilities to stockholders' equity in evaluating a company's financial condition.

Target Corporation (TGT) is one of the largest retailers in the United States. Target operates over 1,800 stores that sell a wide assortment of merchandise, including a variety of grocery items.

Target recently reported the following end-of-year balance sheet data (in millions):

	Year 3	**Year 2**	**Year 1**
Total assets	$41,290	$40,303	$37,431
Total liabilities	29,993	28,652	26,478
Total stockholders' equity	11,297	11,651	10,953

a. Compute the ratio of liabilities to stockholders' equity for all three years. Round to two decimal places.

b. What conclusions regarding the margin of protection to creditors can you draw from the trend in this ratio for the three years?

MAD 1-3

Analyze Walmart for Three Years

Obj. 6 - Describe and illustrate the use of the ratio of liabilities to stockholders' equity in evaluating a company's financial condition.

Walmart Inc. (WMT), a major competitor to **Target Corporation (TGT)** in the retail business, operates over 11,000 stores. Walmart recently reported the following end-of-year balance sheet data (in millions):

	Year 3	Year 2	Year 1
Total assets	$219,295	$204,522	$198,825
Total liabilities	139,661	123,700	118,290
Total stockholders' equity	79,634	80,822	80,535

a. Compute the ratio of liabilities to stockholders' equity for all three years. Round to two decimal places.

b. What conclusions regarding the margin of protection to creditors can you draw from the trend in this ratio for the three years?

MAD 1-4

Compare Target and Walmart

Obj. 6 - Describe and illustrate the use of the ratio of liabilities to stockholders' equity in evaluating a company's financial condition.

Using your answers for **Target Corporation (TGT)** in MAD 1-2 and **Walmart Inc. (WMT)** in MAD 1-3, compare and interpret Target's ratio of liabilities to stockholders' equity to that of Walmart.

MAD 1-5

Compare Wendy's and Chipotle Mexican Grill

Obj. 6 - Describe and illustrate the use of the ratio of liabilities to stockholders' equity in evaluating a company's financial condition.

The following total liabilities and stockholders' equity information (in millions) is provided for **The Wendy's Company (WEN)** and **Chipotle Mexican Grill, Inc. (CMG)** at the end of a recent year:

	Wendy's	Chipotle

Total assets	$4,292	$2,265
Total liabilities	3,644	824
Total stockholders' equity	648	1,441

Wendy's is a much larger company than is Chipotle; however, both companies compete in the fast food business.

a. Compute the ratio of liabilities to stockholders' equity for each company. Round to one decimal place.

b. What conclusion regarding the margin of protection to creditors can you draw for Wendy's?

c. What conclusions regarding the use of debt can you draw for Chipotle?

The annual report (10-K) assignment for this chapter is in Appendix C: Nike Annual Report, Chapter 1.

Chapter Review

1-6m Take It Further

TIF 1-1

Business versus Personal Expenses

Marco Brolo is one of three partners who own and operate Silkroad Partners, a global import–export business. Marco is the partner in charge of recording partnership transactions in the accounts. On his way to work one day, Marco's car broke down. At the repair shop, Marco learned that his car's engine had significant damage, and it will cost over $2,000 to repair the damage. He does not have enough money in his bank account to cover the cost of the repair, and his credit cards are at their limit. This car is the only form of transportation that Marco has to get to and from work every day. He does not use his car for any business travel.

After considering his options, Marco decides to take $2,000 from the partnership for the repair and record it as an expense of the partnership. He believes that this is appropriate since he needs his car to get to work every day.

1. Is Marco behaving ethically? Why?
2. Who is affected by Marco's decision?
3. What other alternatives might Marco consider?

TIF 1-2

Loan from Bank

Colleen Fernandez, president of Rhino Enterprises, applied for a $175,000 loan from First Federal Bank. The bank requested financial statements from Rhino Enterprises as a basis for granting the loan. Colleen has told her accountant to provide the bank with a balance sheet. Colleen has decided to omit the other financial statements because there was a net loss during the past year.

In groups of three or four, discuss the following questions:

1. Is Colleen behaving in a professional manner by omitting some of the financial statements?
2.
    a. What types of information about their businesses would owners be willing to provide bankers? What types of information would owners not be willing to provide?
    b. What types of information about a business would bankers want before extending a loan?
    c. What common interests are shared by bankers and business owners?

TIF 1-3

Real-World Annual Report

In teams, select a public company that interests you. Obtain the company's most recent annual report on Form 10-K. The Form 10-K is a company's annually required filing with the Securities and Exchange Commission (SEC). It includes the company's financial statements and accompanying notes. The Form 10-K can be obtained either (a) from the investor relations section of the company's website or (b) by using the company search feature of the SEC's EDGAR database service found at www.sec.gov/edgar/searchedgar/companysearch.html.

Based on the information in the company's most recent annual report, answer the following questions:

1. What is the official name of the company?
2. Where are the company's principal offices located?
3. Who is the company's chief executive officer?
4. Is the company primarily a service, retail, or manufacturing business?
5. How does the company describe its business?
6. Which financial statements are included in the annual report?

TIF 1-4

Causes of Fraud

There are two common causes of business and accounting fraud:

- a failure of individual character, and
- a culture of greed or ethical indifference within an organization.

Write a brief memo describing how these two factors could lead to accounting fraud.

TIF 1-5

Net Income

On January 1, 20Y5, Dr. Marcie Cousins established Health-Wise Medical, a medical practice organized as a corporation. The following conversation occurred the following August between Dr. Cousins and a former medical school classmate, Dr. Avi Abu, at an American Medical Association convention in Seattle:

> *Dr. Abu:* Marcie, good to see you again. Why didn't you call when you were in Miami? We could have had dinner together. *Dr. Cousins:* Actually, I never made it to Miami this year. My husband and kids went up to our Vail condo twice, but I got stuck in Jacksonville. I opened a new consulting practice this January and haven't had any time for myself since. *Dr. Abu:* I heard about it…Health…something…right? *Dr. Cousins:* Yes, Health-Wise Medical. My husband chose the name. *Dr. Abu:* I've thought about doing something like that. Are you making any money? I mean, is it worth your time? *Dr. Cousins:* You wouldn't believe it. I started by opening a bank account with $25,000, and my July bank statement has a balance of $80,000. Not bad for six months—all pure profit. *Dr. Abu:* Maybe I'll try it in Miami! Let's have breakfast together tomorrow and you can fill me in on the details.

Comment on Dr. Cousins' statement that the difference between the opening bank balance ($25,000) and the July statement balance ($80,000) is pure profit.

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